

This document is a prospectus inviting the public to apply for shares in Mumias Sugar Company Limited under terms outlined herein. If you are in doubt as to the meaning of the contents of this prospectus or as to what action to take, please consult your accountant, bank manager, lawyer, stockbroker or other professional adviser immediately.

If you wish to apply for shares in terms of the offer for sale then you must complete the procedures for application and payment set out in paragraph 8.8 of this document.

MUMIAS SUGAR COMPANY LIMITED

(Incorporated in Kenya on 29 June 1971)

(Registration number 10 076)

("MSC" or "the company")



Prospectus

in respect of

an offer for sale by the Government of Kenya acting through the Permanent Secretary to the Treasury of CDC Group Plc of 300 000 000 ordinary shares with a par value of KSh2 each in the ordinary share capital of MSC at a subscription price of KSh6.25 per ordinary share

comprising

- a public offer of 121 500 000 ordinary MSC shares
- a preferential offer of 153 000 000 ordinary MSC shares to MSC outgrowers
- a preferential offer of 25 500 000 ordinary MSC shares to MSC employees
- the listing of 510 000 000 ordinary MSC shares on the Nairobi Stock Exchange in the Main Investment Market Segment ("MIMS")

and incorporating

- five duplicate application forms for the public offer

	Date
Offer opens	Monday, 24 September 2001
Offer closes	Friday, 19 October 2001
Anticipated listing date	Wednesday, 14 November 2001

This prospectus is issued in compliance with part III of the Companies Act (Cap. 486 of the Laws of Kenya) and the requirements of the Capital Markets Authority.

Merchant bank and transaction adviser



(A division of The Standard Bank of South Africa Limited)
(Registration Number 1982/000738/06)

Joint-lead sponsoring stockbrokers



Kestrel Capital (East Africa) Limited



Shah, Munge & Partners Limited

Co-sponsoring stockbrokers



Dyer & Blair Limited



Equity Stockbrokers Limited



Standard Stocks Limited



Suntra Stocks Limited

Joint legal advisers

Hamilton Harrison & Mathews
Oraro & Company

Share registrars

IMAGE
REGISTRARS

Reporting accountants

Deloitte
& Touche

THIS DOCUMENT IS IMPORTANT AND REQUIRES YOUR IMMEDIATE ATTENTION

Permission has been granted by the Capital Markets Authority to offer to the public the ordinary shares that are the subject of the offer. As a matter of policy, the Capital Markets Authority does not assume responsibility for the correctness of any of the statements made or opinions or reports expressed or contained in this prospectus. Approval of this prospectus by the Capital Markets Authority is not to be taken as an indication of the merits of the company or its shares.

Application has been made to the Nairobi Stock Exchange Limited ("NSE") for the listing of 510 000 000 ordinary shares in the ordinary share capital of MSC on the NSE in the MIMS. Admission to the Official List of the NSE is expected to become effective on or about Wednesday, 14 November 2001. Monies paid in respect of any application accepted will be returned if the listing does not become effective. The NSE assumes no responsibility for the correctness of any of the statements made or opinions or reports expressed or contained in this prospectus. Admission to the Official List is not to be taken as an indication of the merits of the company or of the shares.

The ordinary shares to be sold pursuant to the offer will carry the right to participate in all future dividends to be declared and paid on the ordinary share capital of the company. The shares rank *pari passu* with the other shares of MSC, are freely transferable and are not subject to any restrictions on marketability or any pre-emptive rights. The first dividend payable to MSC shareholders following the listing will be in respect of the year ended 30 June 2001. A dividend of KSh0.71 per share was declared on 7 September 2001. The last day to register for this dividend will be Friday, 4 January 2002 and it is anticipated that this dividend will be paid on Friday, 18 January 2002.

After the closing of the offer, the ordinary share capital of MSC will comprise 545 000 000 authorised ordinary shares and 510 000 000 issued ordinary shares with a par value of KSh2 each.

The directors of MSC, whose names are given in paragraph 6.1.1 of this prospectus, collectively and individually accept full responsibility for the accuracy of the information contained herein and have taken all reasonable care to ensure that the facts stated and the opinions expressed are true and accurate in all material respects and that there are no other material facts the omission of which would make any statement herein, whether of fact or opinion, misleading.

**MUMIAS
SUGAR COMPANY
LIMITED**PRIVATE BAG
MUMIAS
KENYA

Dear Investor

It is with great pleasure that I present this prospectus to you on behalf of the Board of Directors of Mumias Sugar Company Limited ("MSC" or "the company"). The offer for sale of shares in MSC, on behalf of the Government of Kenya acting through the Permanent Secretary to the Treasury and CDC Group Plc, provides members of the public, MSC outgrowers and employees, and institutional investors with the opportunity to own shares in the country's leading sugar producer. For many, especially those outgrowers who supply us with cane, this will be the first opportunity they will have to own shares in a public company listed on the Nairobi Stock Exchange. Over the past five years, the outgrowers have been setting aside money to acquire shares in MSC on its privatisation.

The company has operated profitably for 24 of its 27 years of operation – no mean feat considering the challenges faced by the company. Not only has MSC remained profitable, but the company has established itself as the dominant player in the sugar industry, accounting for more than half of the country's sugar production.

The company has achieved its profitability and dominant market share as a result of:

- Its superior processing technology in the form of advanced sugar manufacturing equipment such as a diffuser;
- its innovative approach to the sugar market. MSC has proved itself a market innovator with its introduction of the see-through 2 kilogramme bag, enabling the company to better meet the needs of its customers; and
- the proven expertise and experience of its staff and management agents, namely Booker Tate Limited.

The company changed its accounting policies so as to comply with International Accounting Standards ("IAS") in 1999. In this prospectus you will find adjusted financial results for the past five years, reflecting the company's results had the company implemented the IAS earlier. For the year ended 30 June 2001, MSC continued its strong track record as a profitable producer of sugar. For this period, the company's operating profit was KSh1 132 million on a turnover of KSh6 659 million.

MSC is proud of its achievements to date and looks with confidence and enthusiasm to the future.

Details of the offer for sale and the listing of MSC on the Nairobi Stock Exchange are laid out in this prospectus. Please ensure that you read the full prospectus thoroughly to obtain a better understanding of the potential rewards and risks relating to an investment in MSC.

Yours sincerely

MK Sang
Chairman

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DEFINITIONS

In this prospectus and the annexures hereto, unless otherwise inconsistent with the context, the singular includes the plural and vice versa, a reference to a person includes a body corporate and vice versa, and the words in the left hand column below have the meanings assigned to them in the right hand column:

"ACP"	African, Caribbean and Pacific Countries;
"the Act"	the Companies Act (Cap. 486 of the Laws of Kenya);
"agent banks"	Co-operative Bank of Kenya and Kenya Commercial Bank Limited;
"block certificate"	a share certificate indicating the aggregate number of shares held by a shareholder without identifying the individual shares;
"BSC"	Busia Sugar Company Limited;
"BTL" or "Booker Tate"	Booker Tate Limited;
"CDC"	CDC Group Plc, formerly the Commonwealth Development Corporation;
"the CMA"	Capital Markets Authority;
"CMA Act"	the Capital Markets Authority Act (Cap. 485A of the Laws of Kenya), as amended by the Capital Markets Authority (Amendment) Act 2000;
"COMESA"	Common Market for Eastern and Southern Africa as established by the COMESA Treaty on 5 November 1993;
"co-sponsoring stockbrokers"	Dyer & Blair Limited, Equity Stockbrokers Limited, Standard Stocks Limited and Suntra Stocks Limited, members of the NSE and licensed as stockbrokers by the CMA;
"directors"	the Board of directors of MSC;
"EADB"	East African Development Bank;
"employee"	an employee employed by MSC on a permanent basis at the opening date of the offer;
"EU"	European Union;
"GBP" or "£"	British Pound Sterling, the currency of the United Kingdom;
"the Government"	the Government of Kenya;
"joint-lead sponsoring stockbrokers"	Kestrel Capital (East Africa) Limited and Shah, Munge & Partners Limited, members of the NSE and licensed as stockbrokers by the CMA;
"Kenya"	the Republic of Kenya;
"KCFC"	Kenya Commercial Finance Company Limited;
"kg"	kilogrammes;

"KSA"	Kenya Sugar Authority, established in terms of the Agriculture Act (Cap. 318 of the Laws of Kenya);
"KSh" or "shillings"	Kenya shillings, the lawful currency of Kenya;
"legal advisers"	Hamilton, Harrison & Matthews and Oraro & Company;
"MIMS"	the Main Investment Market Segment of the NSE;
"MOCO"	Mumias Outgrowers Company Limited;
"MSC" or "the company"	Mumias Sugar Company Limited;
"mt" or "tonnes"	metric tonnes;
"the NSE"	the Nairobi Stock Exchange Limited;
"the offer"	collectively, the preferential offers and the public offer;
"the public offer"	the offer for sale of a total of 121 500 000 MSC shares at a subscription price of KSh6.25 per share to the general public, in terms of this prospectus;
"outgrowers"	sugar cane outgrowers registered with MOCO and who are contracted as cane suppliers to MSC;
"°Pol"	an international standard for expressing sugar purity;
"the preferential offers"	the preferential offers to employees and outgrowers of a total of 178 500 000 MSC shares;
"the Privatisation Committee" or "PC"	the Privatisation Committee of MSC, a sub-committee of the directors;
"properties"	the immovable properties listed in Annexure 5 which are owned or leased by the company;
"prospectus"	this prospectus and the annexures hereto including the attached application forms;
"receiving agents"	the receiving agents as listed in Annexure 8 of this prospectus;
"the Registrar"	the Registrar of Companies in Kenya;
"reporting accountants"	Deloitte & Touche, Certified Public Accountants (Kenya);
"SCMB"	The Standard Bank of South Africa Limited (Registered in South Africa), acting through its division Standard Corporate and Merchant Bank;
"SDL"	Sugar Development Levy, the rate of which is currently 7%;
"shareholders"	all of the holders of shares;
"shares" or "MSC shares"	ordinary shares with a par value of 2 shillings each in the ordinary share capital of MSC;
"share registrars"	Image Registrars;
"sugar"	sulphitation white sugar of 99.5° Pol, direct consumption raw sugar and raw sugar for refining;

"transaction adviser"	SCMB;
"US\$" or "USD"	United States dollars, with an exchange rate of approximately US\$1:KSh78.95 at the date of the prospectus; and
"vendors"	the Government acting through the Permanent Secretary to the Treasury (Incorporated under Cap. 101 of the Laws of Kenya) and CDC, who are offering for sale 300 000 000 shares in terms of the offer.

1. PRINCIPAL FEATURES OF THE OFFER

The principal features highlight certain important information contained in this prospectus, which should be read in its entirety for a full appreciation of the subject matter contained herein. If you are in any doubt as to its meaning or what action to take, please consult your accountant, bank manager, lawyer, stockbroker, or other professional adviser. The interpretation and definitions of abbreviated terms used in this summary are set out on pages 6 to 8 of this prospectus.

1.1. Background to the offer

In accordance with the Government's policy of divesting its ownership in public enterprises, the Government, as one of the vendors, has made available a portion of its shareholding in MSC to be sold to the public, outgrowers and employees in terms of the offer.

After 30 years of active involvement in MSC's development and profitable operation, and in the context of its changing investment focus away from agri-business, CDC has decided to make available its shares in MSC at the time of the company's initial public offer.

1.2. Nature of business

MSC is a dedicated sugar company and has as its main activity the ownership, operation and management of a sugar plantation and factory in Mumias, Kenya. In order to secure cane supplies, MSC maintains a close relationship with outgrowers. Sugar and other by-products produced at the factory are marketed in the Kenyan market.

1.3. Particulars of the offer

The vendors are offering 300 000 000 shares in MSC at a subscription price of KSh6.25 per share. This constitutes 58.82% of the existing issued ordinary share capital of the company.

The minimum number of shares that can be applied for in the public offer is 1 000 shares. Additional shares must be applied for in multiples of 100 shares.

The Government is offering 153 000 000 shares in MSC as a preferential offer to outgrowers at a subscription price of KSh6.25 per share in terms of the outgrower share purchase scheme as set out in paragraph 8.4 below. This constitutes 30% of the existing issued ordinary share capital of the company.

The Government is offering 25 500 000 shares in MSC as a preferential offer to employees at a subscription price of KSh6.25 per share as set out in paragraph 8.5 below. This constitutes 5% of the existing issued ordinary share capital of the company.

The proceeds of the offer will accrue to the vendors after deducting related expenses.

1.4. Relevant financial information

The information set out below should be read in conjunction with the reporting accountants' report on the company as set out in Annexure 2 of this prospectus and paragraph 7 below:

Authorised share capital

545 000 000 shares with a par value of KSh 2 each KSh 1 090 000 000

Issued and fully paid share capital

510 000 000 shares with a par value of KSh2 each KSh1 020 000 000

Subscription price per share (KSh) 6.25

	Year ended 30 June 2000	Year ended 30 June 2001	Year ended 30 June 2002
Earnings per share	KSh 1.24	KSh 0.95	KSh 1.00
Price / earnings ratio**	5.06	6.58	5.71
Dividends per share	KSh 0.84	KSh 0.71*	KSh 0.82
Dividend yield	13.44%	11.36%	13.12%

* Declared but not yet paid. See paragraph 7.6.4 below.

** Relative to the offer price.

1.5. Important dates and times

	Time	Date
Offer opens	08:00	Monday, 24 September 2001
Offer closes	15:00	Friday, 19 October 2001
Announcement of allotment	By close of business	Friday, 2 November 2001
Share certificates and any refund monies posted	By close of business	Monday, 5 November 2001
Share certificates and any refund monies available for collection	By close of business	Wednesday, 7 November 2001
Anticipated listing date		Wednesday, 14 November 2001

1.6. How to apply for shares

The completed application form, together with the necessary cash, postal order or banker's cheque, drawn on a licensed bank, made payable in favour of "Mumias Sugar Company Limited Share Offer" in shillings, should be submitted to any of the branches of the receiving agents set out in Annexure 8 of this prospectus to ensure that the application reaches the offices of that receiving agent by 15:00 on Friday, 19 October 2001 at the latest. Late applications may not be considered. Personal cheques will not be accepted.

Applications can also be posted, at the applicant's risk, to the following address:

MSC PUBLIC OFFER

c/o Image Registrars
Receiving Department
PO Box 9287
00100 Nairobi GPO

Applicants are advised to take into consideration postal delivery times when posting applications, as postal applications not received at the above postal address by 15:00 on Friday, 19 October 2001 may not be accepted.

2. CONSENTS AND REGISTRATION OF THE PROSPECTUS

- 2.1. A copy of this prospectus, signed by or on behalf of the directors and on behalf of the vendors and accompanied by the necessary documents in compliance with the requirements of the Act, has been lodged with the Registrar.
- 2.2. A copy of this prospectus has been lodged with the CMA.
- 2.3. This prospectus includes particulars given in compliance with the requirements of the CMA and the Act.
- 2.4. The transaction adviser, legal advisers, reporting accountants and joint-lead sponsoring stockbrokers have given and have not, prior to the date of the prospectus, withdrawn their written consents to act in the capacities stated and to their names being stated in this prospectus.
- 2.5. The reporting accountants, Deloitte & Touche, Certified Public Accountants (Kenya), registered as certified public accountants with the Institute of Certified Public Accountants of Kenya, whose report is included in this prospectus, have given and have not, prior to the date of the prospectus, withdrawn their written consent to the inclusion of their report in the form and context in which it appears.
- 2.6. No approval for the distribution of this prospectus in any other jurisdiction where such approval may be required has been obtained. This prospectus does not constitute an offer or solicitation by anyone in any jurisdiction in which such an offer or solicitation is not authorised or to any person to whom it is unlawful to make such an offer or solicitation.

3. PURPOSE OF THE OFFER AND LISTING

The offer and the listing of MSC on the NSE is being undertaken in accordance with the Government's divestiture programme and specifically aim:

- 3.1. To enable the Kenyan public, the outgrowers and employees of the company to participate in the equity of MSC and to encourage wider ownership of shares in general;
- 3.2. to provide individuals, institutional investors and other interested parties with an opportunity to participate in the equity of MSC;
- 3.3. to provide an opportunity for investors to participate in the Kenyan sugar industry through the company;
- 3.4. to reduce the public sector investment in the sugar sector;
- 3.5. to provide a ready and transparent basis for valuation of MSC's shares and, hence, the market value of the company;
- 3.6. to provide MSC with a further source from which permanent capital can be obtained to facilitate future growth;
- 3.7. to enhance investors' and general public awareness of the company; and
- 3.8. to provide a market for shareholders to realise their investment in MSC.

4. INCORPORATION, COMPANY STRUCTURE AND CORPORATE INFORMATION

4.1. Incorporation

MSC was incorporated in Kenya as a private company on 29 June 1971 and was converted to a public company on 18 September 2001. The business that MSC is authorised to carry on is unrestricted, but MSC was largely set up to carry on the business of manufacturing and marketing of sugar and its by-products.

4.2. Alterations of share capital

Share capital of KSh40 000, divided into two thousand shares of KSh20 each, was issued upon incorporation of MSC on 29 June 1971.

During the last 10 years, the share capital of MSC has been altered as follows:

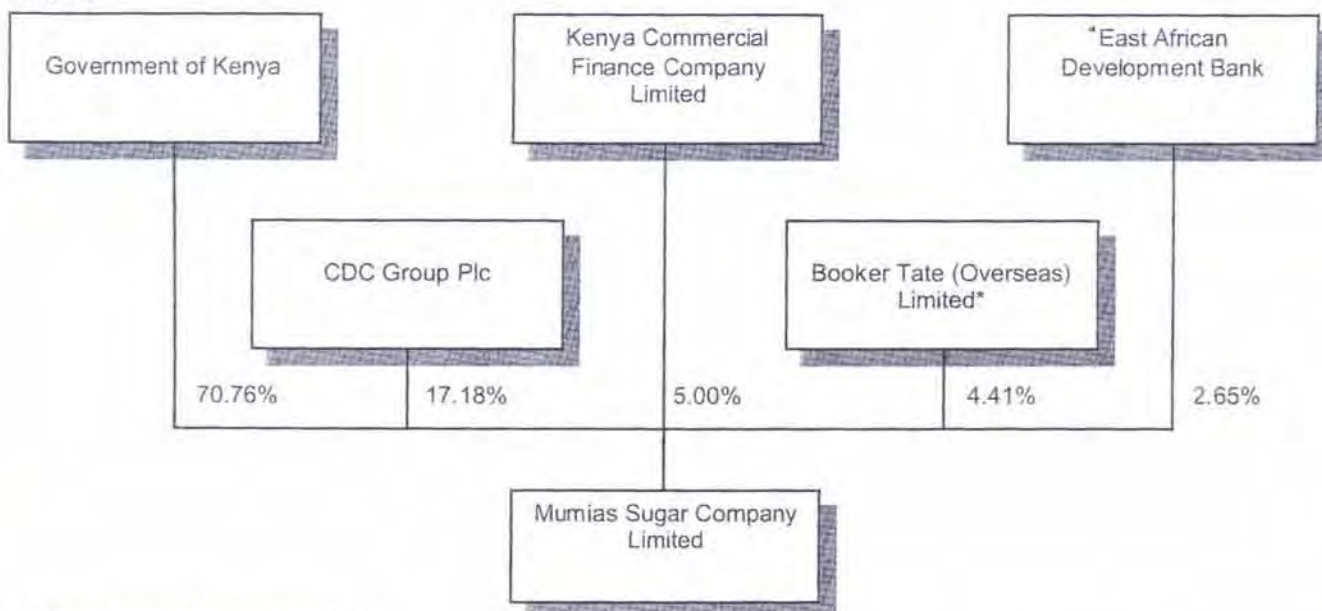
- On 14 December 1993, the authorised share capital was increased to KSh1 090 000 000 divided into 54 500 000 shares of KSh20 each by the creation of 42 500 000 new shares of KSh20 each;
- on 14 December 1993, the company issued and allotted a total of 42 500 000 new shares by way a bonus issue to shareholders in the proportion of five new shares for every one share then held; and
- On 18 September 2001, the authorised and issued share capital of MSC was sub-divided on a 10 for 1 basis into 545 000 000 and 510 000 000 shares of KSh2 each respectively.

4.3. MSC's shareholder structure

MSC's shareholders, prior to the offer, are as follows:

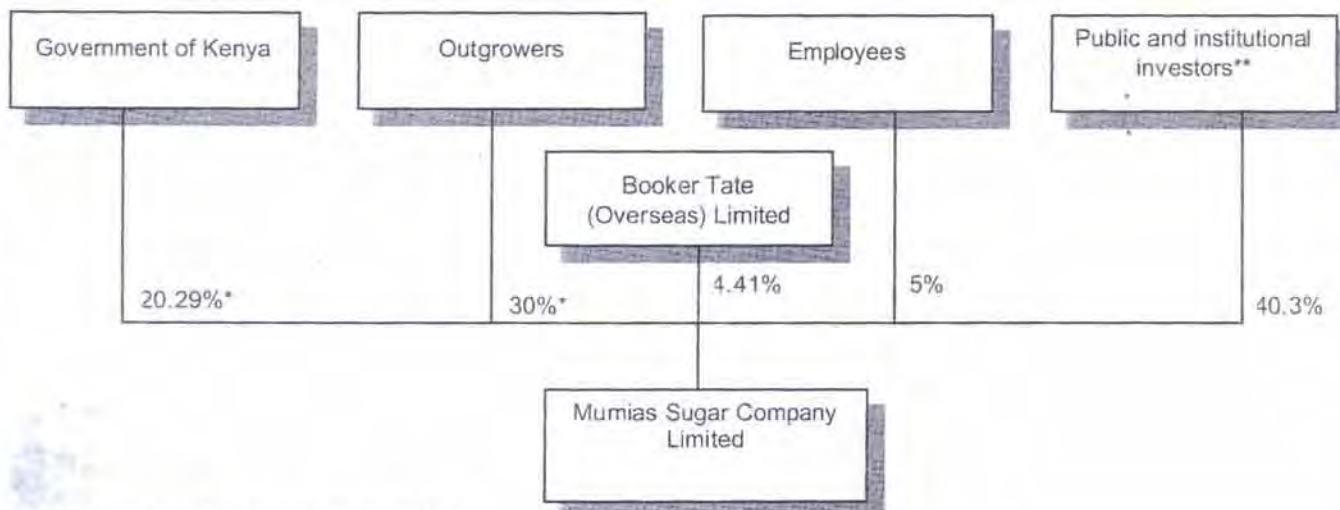
	Number of shares (million)	%
Government of Kenya	360.9	70.76
CDC Group Plc	87.6	17.18
Kenya Commercial Finance Company Limited	25.5	5.00
Booker Tate (Overseas) Limited	22.5	4.41
East African Development Bank	13.5	2.65
Total share in issue	510.0	100.00

MSC's shareholding structure prior to the public and preferential offers can be represented graphically as follows:



* A wholly-owned subsidiary of BTL.

MSC's shareholding structure pursuant to the successful public and preferential offers, and the implementation of the "greenshoe option", as set out in paragraph 8.3.3 below, may be constituted as follows:



* Refer to section 8.4 below for more detail.

** Includes EADB, KCFC and potentially CDC.

The shareholders of MSC prior to the offer, have agreed not to offer for sale any of their shareholding in MSC, except such shares sold by way of the offer, for a one-year period after the date of listing. It is the intention of the Government to retain its remaining interest in MSC for a further three years so as to monitor the development of corporate governance in the company as a broadly held public company. In the interim, the Government undertakes not to offload portions of its remaining interest in MSC through the NSE except as contemplated in section 8.4 below. At the end of this period of three years, the Government may dispose of its stake either by public offer or through a trade sale to a strategic investor.

4.4. Corporate information

Company Secretary

Meshack J R Guto
Mumias Sugar Company Limited
Mumias
PO Box 57092, Nairobi, Kenya

Managing agent

Booker Tate Limited
Masters Court
Church Road
Thame Oxon OX9 3FA
United Kingdom

Company lawyers

Kaplan Stratton
Queensway House
Kaunda Street
PO Box 40111, Nairobi, Kenya
PO Box 834, Kakamega, Kenya

Commercial banker and banker to the offer

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
PO Box 48400, Nairobi, Kenya

Commercial banker

The Co-operative Bank of Kenya Limited
Reinsurance Plaza
PO Box 48231, Nairobi, Kenya

Registered office

Mumias Sugar Company Limited
Mumias
Private Bag, Mumias, Kenya

Auditors and reporting accountants

Deloitte & Touche
"Kirungii", Ring Road
Westlands
PO Box 40092, Nairobi, Kenya

Company lawyers

E K Owinyi & Company
Kholera House
Canon Awori Street
Kakamega

Commercial banker

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
PO Box 30120, Nairobi, Kenya

4.5. Offer advisers

Merchant bank and transaction adviser

Standard Corporate and Merchant Bank
(a division of The Standard Bank of South Africa Limited)
3 Simmonds Street
Johannesburg, 2001
South Africa
PO Box 61334, Marshalltown, 2107, South Africa

Share registrars

Image Registrars
8th Floor
Trans National Plaza
Mama Ngina Street
Nairobi
PO Box 72133, Nairobi

Joint-lead sponsoring stockbrokers

Kestrel Capital (East Africa) Limited

7th Floor

Hughes Building

Kenyatta Avenue

PO Box 40005, Nairobi, Kenya

Joint legal advisers

Oraro & Company

11th Floor

Finance House

PO Box 51236, Nairobi, Kenya

Joint-lead sponsoring stockbrokers

Shah Munge & Partners Limited

12th Floor

Nation Centre

Kimathi Street

PO Box 14686, Nairobi, Kenya

Joint legal advisers

Hamilton Harrison & Matthews

ICEA Building

Kenyatta Avenue

PO Box 30333, Nairobi, Kenya

5. HISTORY, PRINCIPAL ACTIVITIES, NATURE OF BUSINESS AND PROSPECTS**5.1. General history of the company**

The following table sets out certain historic events of the company:

Date	Event
1967	The Government commissioned a subsidiary of Booker McConnell, Bookers Agriculture and Technical Services, which is now BTL, to study the feasibility of growing cane at Mumias and to initiate a pilot project. At the time, the Mumias area was seriously under-developed and land utilisation was poor. Farmers grew subsistence food crops but bush and rough grazing predominated. The relative remoteness of the area and poor communications had prevented the development of an active market economy. As land adjudication had been carried out and as the farmers had freehold title to their land, the proposed development was all the more attractive.
1971	The study concluded that it would be possible to establish a viable sugar scheme at Mumias with a factory supplied by cane from both a nucleus estate and cane farmer. The Government accepted the findings of the feasibility study and on 29 June 1971 incorporated MSC as the body to implement the project, with a majority share held by the Government (70.76%) and minority interests held by the CDC (17.18%), KCFC (5%), Booker McConnell (4.41%), and the EADB (2.65%). Booker McConnell's holding of 4.41% is today held by Booker Tate (Overseas) Limited. Bookers Agriculture and Technical Services provided management under contract to MSC. The major objectives of the Mumias scheme were: • To provide a source of cash income for farmers; • to create jobs, there being no other major industrial development in the area at the time; and • to reduce dependence on importation and achieve self-sufficiency in sugar production. The company was expected to operate on a commercial basis and make profits. The scheme was unique because of its dependence on sugar grown by small-scale farmers, whose average holdings are today 0.88 hectares. Commencement of cane planting on the nucleus estate and outgrower areas.
1973	First sugar produced by MSC.
1976	Expansion of milling capacity from 80 tonnes of cane per hour to 125 tonnes of cane per hour.

- 1979 The company decided to proceed with an expansion of factory capacity to 300 tonnes of cane per hour, an expansion equivalent to the construction of a large new factory. Contracts for the supply and erection of this extension were signed.
- 1985 Completion of expansion of factory, giving MSC a potential capacity of 210 000 tonnes of sugar per year.
- 1995 Commencement of factory rationalisation project.
- 1997 Completion of factory rationalisation. The project consisted of the erection of a new 110 tonnes per hour boiler, a 7.0MW turbo-alternator, a juice clarifier, heaters and juice evaporators, a new diffuser with associated cane handling equipment and de-watering mills. Daily milling capacity increased to 8 000 tonnes of cane per day and the efficiency of sucrose extraction was raised from 82% to the current 86%.
- 1999 Implementation of the voluntary early retirement scheme, reduced the permanent workforce from 4 650 employees to 3 400 employees by October 2000.
- 2000 Establishment of a nationwide distribution network for sales and marketing, and branding of product through 2kg packaging.

Concluded power sale agreement with Kenya Power and Lighting Company to supply 10 000MWh of electricity per annum to the national grid.
- 2001 Conversion of the company from a private to a public company and listing on the NSE.

5.2. Principle activities of the company

The business comprises the cultivation of sugar cane and the production of sugar. It was established, amongst other reasons, to promote smallholder cane growing in the MSC area. Currently, the company directly employs 3 240 people.

A total of 45 166 hectares is under cane, of which 3 438 hectares are leased and managed by MSC and the balance is cultivated by outgrowers. The nucleus estate represents approximately 4 414 hectares of land leased from the Government, of which 3 438 hectares is planted with cane. Approximately 42 000 hectares of outgrower land is registered with MOCO within a 40 kilometer radius of the factory. Cane fields are rain-fed, with well-spread falls totaling about 2 000 millimeters annually, and are harvested on an 18 to 22 months cycle.

The factory operates for 10 months of the year. Following the rationalisation programme, the factory has a capacity of 350 tonnes of cane per hour and is capable of processing over 2 050 000 tonnes of cane per year, yielding over 245 000 tonnes of sugar. In the year to June 2000, the company produced 267 000 tonnes of sugar and 216 539 tonnes for the year ended June 2001. The cane off-take agreement with BSC further utilises MSC factory capacity.

5.3. Nature of the business

5.3.1. The industry

The Kenyan sugar industry was established by the Government as a means by which employment could be created, income generated for cane farmers and to achieve greater self-sufficiency through import substitution. MSC is one of seven sugar factories and estates in Kenya, the others being Chemelil Sugar Company Limited, Miwani Sugar Company Limited, Muhoroni Sugar Company Limited, Nzoia Sugar Company Limited, South Nyanza Sugar Company Limited and West Kenya Sugar Company Limited. Miwani Sugar Company Limited and Muhoroni Sugar Company Limited are currently in receivership. Sugar production in Kenya in 2000 was approximately 402 000 tonnes, of which MSC contributed 54.2%.

The bulk of Kenya's sugar requirements have been met by locally produced sugar. Domestic demand for sugar has grown rapidly over the past five years from 462 771 tonnes in 1996 to a high of 638 861 tonnes in 1998 and 538 092 tonnes in 2000. Domestic production has also grown over this period – from 389 138 tonnes in 1996 to 401 984 tonnes in 2000. As the growth in domestic production has not kept pace with the growth in domestic demand, imports have met an increasingly large proportion of the country's sugar needs. As shown in the table below, the percentage of imports to domestic production has fluctuated widely over this period.

Sugar imports and domestic consumption

	1996	1997	1998	1999	2000
Domestic production (tonnes)	389 138	401 610	449 132	470 788	401 984
Domestic consumption (tonnes)	462 771	453 045	638 861	608 662	538 092
Imports (tonnes)	65 826	52 372	186 516	57 701	118 011
Imports as a percentage of domestic consumption	14.22	11.56	29.20	9.48	21.93

Source: KSA Yearbook of statistics, 2000

In November 2000, the trade-related provisions of COMESA came into effect, resulting in the removal of tariffs on various goods traded amongst member countries, including sugar. Consequently, Kenya experienced an increase in sugar imports accompanied in some cases by the under-declaration of the price of that sugar so as to reduce the value added tax and SDL payable on the imports. To remedy this anomaly, the Government has informed COMESA that quantitative restrictions will be imposed on sugar imports, so protecting the Kenyan sugar industry. Such an agreement would be regarded as being an interim measure and would, therefore, be reviewed by the COMESA Council of Ministers annually.

Further, with a view to developing the Kenyan sugar industry, the Government has published a Sugar Industry Policy Statement and the Sugar Bill, 2001, ("the Bill"). The Bill is due to be debated in the National Assembly before being passed into law. The Bill proposes restructuring the Kenya Sugar Authority into the Kenya Sugar Board. The Kenya Sugar Board would be responsible for, amongst other things, co-ordinating the activities of the various industry participants, whether privately or publicly owned, promote increased use of sugar, facilitate negotiations between millers, growers and outgrowers, and facilitate long-term master plans for the sugar industry. The Bill further states the Government's intention to introduce measures so as to protect the industry from unfair trade practices. These include the enforcement of appropriate tariffs, imposition of penalties for violations thereof and the setting of quality standards.

In the Government's policy document on the sugar industry, the Government restates its commitment to privatising the industry and transforming its role from one of ownership to one of support through regulatory and enabling measures. Such measures include the provision of the infrastructure necessary to facilitate the industry's further development as well as undertaking structural reforms. This includes the above-stated restructuring of the Kenya Sugar Authority.

5.3.2. Cane production

Cane grown around MSC benefits from well-distributed rainfall averaging about 2 000 millimeters per year. Heavier rains fall in the period March to October, during which time all of the planting activities are carried out. Peak quality and best factory efficiencies are achieved from November to March, which are the drier months.

Agricultural conditions are good for the growing of cane. The soil is easily tilled, enabling the use of less powerful tractors than in other sugar-growing regions of Kenya. The daily temperature range is from 15 °C to 30 °C. The wide temperature range reduces transpiration of the cane at night, so increasing the yield of sucrose per tonne of cane. The region also enjoys low humidity, so discouraging the growth of fungal diseases.

Sugar cane production is summarised below:

Cane production for the two years ended 30 June:

	Hectares harvested		Tonnes cane per hectare		Sucrose % of cane		Tonnes sugar per hectare per annum	
	99/00	00/01	99/00	00/01	99/00	00/01	99/00	00/01
Total	30 263	32 601	75.50	61.00	13.56	12.62	5.00	4.20

Analysis of cane supplied in the year ended 30 June 2000:

	Own tonnes	Outgrower tonnes	Total tonnes	Own %	Outgrower %
Total	194 017	2 090 849	2 284 866	8.5	91.5

Analysis of cane supplied in the year ended 30 June 2001:

	Own tonnes	Outgrower tonnes	Total tonnes	Own %	Outgrower %
Total	194 244	1 794 419	1 988 663	9.8	90.2

Tonnes of cane per hectare fell sharply in 2000/2001 as a result of a drought year in which the central meteorological station recorded the lowest rainfall since 1968. As a consequence of this drought, and the subsequent drop in yield to 61 tonnes of cane per hectare, substantially more land under cane was harvested to satisfy milling demand. Similarly as a result of the drought, the sugar yield per hectare per annum declined by 13%. MSC recorded normal rainfall in the year ended 30 June 2001. Consequently yields are expected to rise to an average of 75.5 tonnes of cane per hectare for the year ending 30 June 2002.

5.3.3. Sugar production

Sugar extraction is achieved by diffusion, leaving by-products of bagasse (which is used for boiler fuel) and molasses. Sugar production is summarised below:

Sugar production:

	Production			Factory capacity
	Year to 30/6/99 Tonnes	Year to 30/6/00 Tonnes	Year to 30/6/01 Tonnes	Tonnes
Total	230 708	267 057	216 539*	245 000

* Due to an acute cane shortage during the season resulting from two years of drought.

Production for the year to 30 June 2000 of 267 057 tonnes of sugar was exceptional – some 9% higher than the nominal factory capacity. This was achieved from an abundance of cane of good quality, harvested under ideal conditions. The crop length was extended by three weeks due to favourable weather conditions. Since the limiting factor on capacity is primarily one of cane throughput, cane quality is the major determining factor on sugar output.

5.4. Risk factors

An investment in MSC, in common with other sugar companies, carries with it business and company specific risks. Some of these risks include:

- The usual risks inherent in owning shares such as the value of the shares falling or rising depending on conditions within the equity market;
- the dependency of the company's profitability on economic conditions;
- variability of cane supplies resulting from the weather and the average plot size reducing; and
- potential for increased competition within the sugar industry from producers locally and abroad.

With respect to the last two of the above-mentioned risks, MSC is well positioned to withstand the challenges they pose, as discussed below.

- Weather: Sugar production, dependent on sugar cane growth, is susceptible to fluctuations in climatic conditions. The drought of 1999/2000 was the worst recorded since record keeping began in 1968. Such severe climatic conditions are not expected to occur in the short- to medium-term. In the event of a reoccurrence of extreme weather, MSC has proven itself able to withstand such challenging conditions.
- COMESA imports: MSC's cost of production compares favourably with those of most of the sugar producers in COMESA and as such it is able to compete with legal imports from COMESA.
- Competition from other Kenyan operations: MSC is the lowest cost and most efficient producer of sugar in Kenya. These factors, combined with the company's position in the domestic sugar market and strong brand loyalty, ensure that the company is not under threat from its domestic rivals.

5.5. Marketing and distribution

5.5.1. Sugar sales

MSC mostly supplies the domestic retail market, with industrial purchases averaging between 5% and 10% of total sales. Industrial users, in some cases, require refined sugar which MSC does not manufacture.

MSC is unique in Kenya in that it has three major distribution centres: at Mumias (Western Kenya), Nairobi (Central Region) and Mombasa (Coastal Region). Stocks are maintained at these three centres so as to ensure customer contact is maintained and demand met. The branded 2kg product has received wide customer approval and is now sold in most supermarkets, some of which have exclusive arrangements with MSC. It is intended that the branded line will be expanded through the 2kg and 1kg pack to between 80 000 and 90 000 tonnes per year (35% of total production) over the next two years. The strong brand identity that MSC has developed and will continue to promote will serve to further protect and expand its market share.

MSC encourages local entrepreneurship and accordingly appoints Kenyan distributors to move and sell sugar throughout the country.

5.5.2. Molasses sales

The Agro-Chemical & Food Company Limited purchases 85% of all molasses which is then fermented and distilled into ethanol and industrial alcohols. The 15% balance is purchased and utilised by farmers as cattle feed and by industrial users for the manufacture of products such as industrial alcohols.

5.6. Training programmes

A wide range of in-house training and external courses are offered by MSC management to improve employee skills in key areas covering all aspects of the business. MSC maintains a well-equipped training facility where visiting experts are able to conduct in-house courses.

In the areas of Agriculture and Factory Operations, specialist training is obtained from the United Kingdom, South Africa and Mauritius while an in-house apprenticeship scheme is well established for artisan training. Computer literacy and management and supervisory training are obtained from specialist companies within Kenya.

5.7. Industrial relations

The Kenya Union of Sugar Plantation Workers (KUSPW) and the Sugar Employers' Group of the Federation of Kenya Employers signed a collective bargaining agreement, which included a 20% wage increase to be spread over a period of two years, on 1 August 1999. The next agreement period will be from 1 May 2001 to 30 April 2003, and no formal claim has been received at this time from the KUSPW. Shop stewards representing the union meet regularly with management to discuss matters of mutual interest. This, coupled with continuous communication between management and employees, has resulted in good industrial relations being maintained at MSC.

MSC also enjoys a good relationship with the outgrowers. The company supplies outgrowers with seed cane and fertiliser on credit at the beginning of the season. The credit is recovered at harvest-time. The company also provides outgrowers with extension services.

5.8. Environmental and social responsibility

MSC was actively involved in assisting the Government in the development of standards for the sugar industry within the Environmental Management and Co-ordination Act 1999, which took effect in January 2000. MSC is currently reviewing its own environmental practices in all areas of its operations and is taking measures to ensure compliance with this Act.

MSC employs a full-time health and safety officer and participates in the BTL group safety campaign. As part of the campaign, the company is actively pursuing HIV/AIDS education and prevention amongst the workforce by training peer educators. All permanent staff receive medical treatment at the company's professionally staffed medical clinic, while family members can receive treatment for minor ailments for a small fee. The company has twice won the Booker Tate Safety Award for being the safest of Booker Tate's twenty factories worldwide.

MSC also participates in the education of its workforce's children through its own school, the Booker Academy, and by contributing buildings and equipment to Government schools on the estate.

5.9. Future prospects of MSC

In 2000, MSC accounted for 54.2% of domestic output and met 40.5% of domestic demand. The scale of its operation, the efficiencies obtained from the modernised factory and professional management ensure that MSC will maintain its position as the leading local sugar producer.

Significant growth potential exists within the operations of MSC. Current planning anticipates progressive development in factory and estate production to a total annual sugar output of approximately 270 000 tonnes by the 2003/2004 season, from an annual average of 238 000 tonnes between July 1997 and June 2001. This increased production should be achieved with modest capital investment, in the form of minor plant additions, and utilising existing surplus factory capacity at MSC. Further, the company intends to expand its branded sugar products with the launch of a 1kg see-through packet.

Initially, additional cane requirements - to support increased sugar production and to minimise the impact of periodical droughts - will be sourced from the already well-established outgrower community assigned to BSC. In the earlier stages of the cane development and supply arrangement with BSC the additional supplies of cane will improve MSC's operating profit without any factory capital investment on MSC's part.

Annual sugar production forecasts in mt:

Season	Total
2001/2	224,061
2002/3	271,500

5.10. Summary of expected future capital expenditure

Capital expenditure, authorised by the directors, to be financed from internally generated funds and to be incurred during the period commencing 1 July 2001 and ending 30 June 2002, is as follows:

Minor and replacement	KSh million
	Total
Buildings, factory plant and equipment	166
Agricultural infrastructure and equipment	84
Office and sundry equipment	100
	350
Projects	
Factory	40
Total	390

MSC does not expect to replace any of its primary plant or equipment except for the normal replacement of its agricultural and vehicle fleets.

5.11. The following development projects are currently being implemented or are under consideration

The company is currently promoting outgrower schemes in the vicinity of the MSC estate. In addition to the 700 hectares planted in 2000/01, it is intended that a total of 1 500 hectares of new outgrower farms will be developed by 2002, by which time the available land for additional cane growing in the Mumias zone will have been exhausted. The company has committed itself to planting 2 500 hectares in the Busia region, which is expected to cost KSh150 million. By assisting with the development of cane growing in the Busia area, MSC will succeed in expanding production initially by 15 000 tonnes of sugar per year.

Over the next five years, MSC intends to undertake modest capital works in the factory to improve efficiencies further. The potential to expand production to 350 000 tonnes of sugar per year through cane and syrup off-take arrangements with BSC is being considered. Should the syrup off-take arrangement proceed, the company would invest approximately KSh900 million on expanding the factory's capacity to enable it to accept and process syrup from BSC. The packaging area is currently being expanded, at a cost of KSh90 million, to enable up to 90 000 tonnes of sugar per year to be packaged in both 1kg and 2kg packets.

5.12. Material changes in the financial or trading position of the company

No material changes in the financial or trading position of the company had taken place since the audit for the year ended 30 June 2001 to the date of the prospectus.

6. DIRECTORS AND MANAGEMENT**6.1. Directors****6.1.1. Directors**

Further details of the directors are contained in Annexure 4 of this prospectus.

Mr M K Sang (65) – Chairman

Mr Sang, a grain farmer, has been Chairman of MSC for the past nine years. He is currently also a board member of the Kenyan Sugar Authority as a representative of the Kenya Sugar Millers Association. He was an educational administrator at district, provincial and national levels. Thereafter, he became Commissioner for Sports and led the Kenyan Olympic team to the Seoul Olympic Games in 1988.

Mr F M Chahonyo (52)

Mr Chahonyo has held the post of Chief Executive of the Kenya Sugar Authority since 1994. Prior to that he worked in the financial industry for 23 years, with periods at Barclays Bank International Limited, Central Bank of Kenya, Kenya Commercial Bank Limited and National Bank of Kenya Limited. He was general manager of Postbank Credit Limited which subsequently went into liquidation. He has served as Chairman of the Administrative Committee of the International Sugar Organisation ("ISO"), and has been a member of the Credentials Committee of the ISO for the past three years. He has a Bachelor of Science (Banking and Finance) degree.

Mr K Gatabaki (51)

Mr Gatabaki joined CDC in 1974 following brief periods at Firestone East Africa (1969) Limited and Nation Group. Over the past 27 years with CDC, he has acquired vast experience in project finance, portfolio management and corporate board business. Mr Gatabaki read economics and project finance at Legon and Bradford Universities. He is currently a manager with CDC Capital Partners in Kenya.

Mr J K Kiarie (46)

Mr Kiarie has a Bachelor of Arts (Economics) Honours degree from the University of Nairobi. He joined Commercial Bank of Africa in 1978 as a management trainee and in 1984 moved to Kenya Commercial Bank where he was appointed as the Senior Audit Inspector. In 1992 he was transferred to London where he acted as the bank's representative until 1999. On his return to Kenya he was appointed Chief Manager, Treasury and Correspondent Banking. In May 2000 he was promoted to Director, Treasury and in October 2000 was appointed Director, Corporate and Treasury at Kenya Commercial Bank's head office.

Prof S E Migot-Adholla (58)

Professor Migot-Adholla was appointed Permanent Secretary in the Ministry of Agriculture and Rural Development in 1999. He had previously worked at the World Bank as a Lead Specialist in the Rural Development Department, Africa Region. Earlier he held research and teaching positions at the University of Dar es Salaam and the University of Nairobi. He holds a PhD from the University of California, Los Angeles.

Mr M Mwachofi (52)

Mr Mwachofi joined the Ministry of Finance as Financial Secretary in 1999 and was appointed Permanent Secretary in March 2001. He joined the Ministry of Finance from the International Finance Corporation ("IFC"), which he joined in 1980. His last position with the IFC was as Regional Director for Southern Africa. He also worked as an adviser to the Private Development Group of the World Bank in 1998 and 1999. He has a Bachelor of Commerce degree from the University of Nairobi and a Master of Business Administration degree from Wharton School of Finance, University of Pennsylvania.

Hon S A Wako (55)

Mr Wako was awarded a Bachelor of Laws degree from the University of Dar es Salaam and Master of Laws and Bachelor of Science (Economics) Honours degrees by the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner of Kaplan and Stratton, Advocates and is currently the Attorney General of Kenya.

Mr B Yates (57)

Mr Yates joined BTL in 1973, having previously worked for Tate & Lyle Refineries Limited, UK. Since 1992 he has been a Technical Director and a member of the Booker Tate Executive Committee, and is responsible for BTL's management contracts in East Africa and for sugar engineering projects. His involvement in Kenya's sugar industry dates back to 1973 when he was Production Manager for MSC. Mr Yates obtained a Master of Arts (Natural Sciences) degree at Cambridge University.

Those directors who hold government posts are directors of MSC by virtue of their employment in the civil service. All the directors are non-executive directors and both Mr Sang as well as Mr Gatabaki will be independent directors pursuant to the successful implementation of the offer and the "greenshoe option" set out in paragraph 8.3.3 below.

Some of the above mentioned directors have alternates. Their names, ages, qualifications and positions, as well as the director for whom they act as alternate, are provided below:

Director	Alternate – Name (age)	Qualification	Position
J Kiaire	James G Chege (47)	• Bachelor of Commerce (Honours) - University of Nairobi • Master of Business Administration - Cornell University	Head of Corporate Banking Kenya Commercial Bank
M Mwachofi	Esther J Koimett (45)	• Bachelor of Commerce (Honours) - University of Nairobi • Master of Business Administration - University of Nairobi	Investment Secretary Ministry of Finance and Planning
S E Migot-Adholla	Alvin M Gakere (46)	• Bachelor of Arts (Honours) - University of Nairobi	Deputy Secretary Ministry of Agriculture
S A Wako	Dan K Ameyo (45)	• Bachelor of Laws (Honours) - University of Nairobi • Master of Laws - University of London • Advocate of the High Court of Kenya • Member - Chartered Institute of Arbitrators, London	Chief State Counsel, and Head of Treaties and Agreements Department Office of the Attorney General

None of the directors has been nor is currently the subject of a filing of a petition for bankruptcy, either in their own capacity or as executive officer of any company. None of the directors has been convicted of a criminal offence, nor is any director the subject of current criminal proceedings. None of the directors has been ruled temporarily or permanently unfit to engage in any business practices.

None of the directors or their alternates trades in sugar in a personal capacity for direct personal gain.

6.1.2. Details of directors' remuneration

The aggregate emoluments paid to the directors for the year ended 30 June 2001 was KSh 4 706 000.

There will be no variation in the remuneration receivable by any of the directors as a consequence of the listing of the company.

6.1.3. Directors' interests

6.1.3.1 At the date of this prospectus, none of the directors had any direct or indirect beneficial interest in the company.

6.1.3.2 No payment has been made to any director in the three years preceding the date of this prospectus to induce or qualify them to become a director or otherwise for services rendered in connection with the promotion or formation of the company.

6.1.3.3 None of the directors had or have any direct beneficial interest in the promotion of MSC, nor in any property or assets acquired by MSC during the three years preceding the date of this prospectus.

6.1.3.4 None of the directors had or have beneficial interests, direct or indirect, in transactions which are or were unusual in nature, conditions or material to the company during the current or previous year or in any previous year and which remain in any respect outstanding or unperfected.

6.1.3.5 There is no existing or proposed contract between any of the directors and the company.

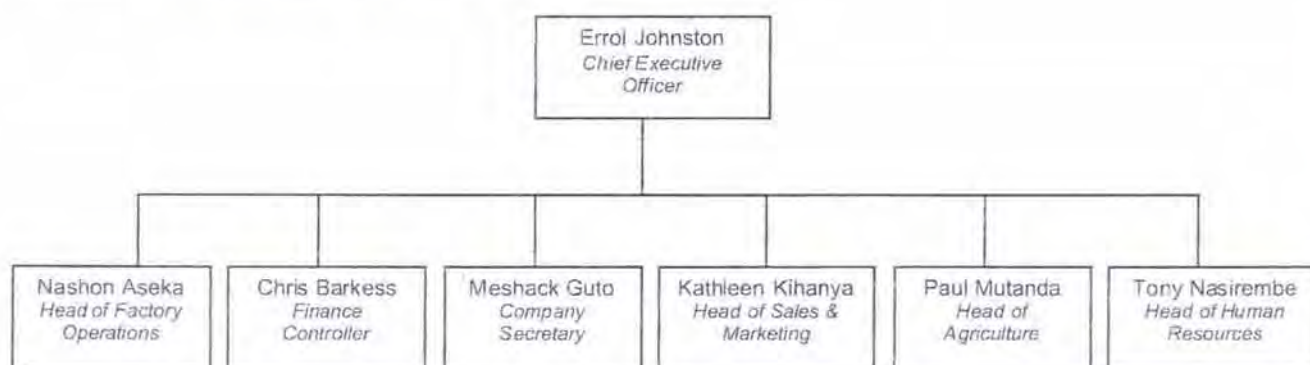
6.1.3.6 No options to purchase any securities of the company have been granted to or exercised by a director of the company within the year preceding the date of this prospectus.

6.1.3.7 There are no outstanding loans granted by the company to the directors, nor has the company issued guarantees in favour of the directors.

6.2. Management

BTL has developed and managed MSC from its inception through successive management agreements. The current agreement to provide professional management services commenced on 1 July 2000 and is due to expire on 30 June 2003, although, BTL has confirmed its willingness to continue thereafter. Details of the general management and divisional heads are contained in Annexure 8 of this prospectus.

The MSC management structure is as set out below:



Pertinent information relating to the general management and divisional heads of the company is set out below:

Errol D Johnston (51)

BSc (Chemistry and Botany); Chief Executive Officer

Mr Johnston graduated as a Sugar Technologist from the Mackay Technical College Australia and then obtained a BSc degree from the University of Queensland, Australia, majoring in Chemistry and Botany. Before he took up employment with BTL, his early experience in sugar technology was gained in the Australian sugar industry. He has a total of 33 years experience in sugar factory management, of which 22 years have been with BTL. For eight years he was the Factory Manager in Somalia and Sri Lanka, and eleven years the Chief Executive Officer in Sri Lanka, Papua New Guinea, Jamaica and Kenya. He is provided under the management contract with BTL as the Chief Executive Officer of MSC and has held that post for over three years.

Nashon Aseka (44)

BSc, MSc, MBA, DipCD, Finst.D; Head of Factory Operations

Mr Aseka has been an employee of MSC for the past 19 years. He graduated with a BSc degree in Chemistry from the University of Nairobi in 1981 and worked briefly with the government of Kenya as Instructor at the Directorate of Industrial Training, before moving to MSC in 1982 as a Management Trainee. He subsequently completed the company management training programme and progressed through the ranks to become Production Manager in 1988 and Factory Manager (Head of Factory Operations) in 1991. He has travelled widely and has gained an intimate knowledge of the sugar industries in Mauritius, South Africa, Swaziland, Zimbabwe, Zambia, Egypt, Sudan, United Kingdom, France and Florida and Texas, USA. He participates on the food standards committee of the Kenya Bureau of Standards, is a member of the National Codex Committee on food standards and is Chairman of the MSC Retirement Benefits Scheme.

Chris Barkess (51)

FCA, ICAEW; Finance Controller

Mr Barkess is provided under contract from BTL and has five years of business experience in East Africa. He was Group Financial Controller for CDC East Africa Teas in Kampala, Uganda and Financial Controller for East Usambara Tea Company Limited in Tanzania. Prior to that he worked in The Netherlands, Zimbabwe, Zambia and Russia, amongst other countries. Mr Barkess has experience in a wide range of financial management positions and has held various senior management appointments such as Vice President – Finance, Finance Director and Deputy Managing Director in various industries, but predominantly in agriculture, across the world.

Meshack J R Guto (45)*LLB (Hons), CPS(K); Company Secretary*

In 1980, Mr Guto graduated from Nairobi University whereafter he passed the examination of the Council of Legal Education leading to admission as an Advocate in 1981. He then joined the Ministry of Foreign Affairs as Assistant Secretary and in 1982 he was admitted as an Advocate of the High Court of Kenya. He joined Kenya Industrial Estates Limited as a Legal Officer in 1983 and in 1985 joined MSC as Company Secretary. In 1989 he qualified as a Certified Public Secretary CPS(K).

Kathleen Kihanya (39)*BBusAdmin; Head of Sales and Marketing*

Following completion of her Bachelor of Business Administration at the University of Texas, Arlington, in 1988, Ms Kihanya worked for Diners Club (A) Limited as Senior Marketing Executive. In 1991 she joined the Kenya Management Assistance Programme as Sales and Marketing Manager. Thereafter, she joined McCann Erickson in 1992 as a Senior Public Relations Consultant. In 1994, Ms Kihanya established her own public relations, media relations and marketing consultancy. She performed a wide range of activities, including product launches, event organisations and product promotions. She also developed public relations strategies for organisations such as the Nairobi Stock Exchange, Lior of Kenya Insurance Company and Sarova Hotels. In 1999, Ms Kihanya joined MSC as head of Sales and Marketing.

Paul M Mutanda (55)*BSc; Head of Agriculture*

Mr Mutanda started as an Assistant Agronomist in 1976 and was promoted to Chief Agronomist in 1978. In 1985 he was promoted to Nucleus Estate Manager and was promoted to Assistant Agriculture Manager in 1988. During this period he also acted, on secondment, as General Manager, MOCO (1996 – 1997). He was promoted to Head of Agriculture in 1999. Prior to working for MSC, he was a game-research biologist with UNDP/FAO in 1972 and until 1976 he was a fisheries research officer with the Ministry of Tourism and Wildlife. Mr Mutanda attended numerous in-house, in-country and abroad management development and functional courses of various durations.

J W Tony Nasirembé (53)*BEd, MEd; Head of Human Resources*

Mr Nasirembé obtained his Bachelor of Education degree from the University of New Brunswick, Canada, and his Master of Education degree from Dalhousie University, Canada. He was a Principal Lecturer and Dean of Students at Kenya Technical Teachers College from 1979 to 1986. From 1986 to 1988 he was the Senior Assistant Registrar at Kenyatta University. He joined MSC in 1988 as Head of Human Resources. He was a speaker at the recent Plenary Session of the International Labour Organisation ("ILO") in Geneva, Switzerland, and represented Kenya at the 88th ILO Conference where he sat on the Agriculture Committee.

None of the executive officers of MSC has been nor is currently the subject of a filing of a petition for bankruptcy, either in their own capacity or as executive officer of any company. None of the executive officers has been convicted of a criminal offence, nor is any executive officer the subject of current criminal proceedings or has been ruled temporarily or permanently unfit to engage in any business practices.

7. FINANCIAL INFORMATION

7.1. Reporting accountants' report

The reporting accountants' report is contained in Annexure 2 of this prospectus.

7.2. Income statements for the preceding five years

The following should be read in conjunction with the reporting accountants' report contained in Annexure 2 of this prospectus.

	Year ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
Sales	6 571 830	6 186 102	6 407 988	9 905 072	6 659 315
Cost of sales	(4 892 988)	(4 547 565)	(4 494 894)	(6 515 810)	(4 289 844)
Gross profit	1 678 842	1 638 537	1 913 094	3 389 262	2 369 471
Other operating income	3 928	10 825	42 979	63 498	117 798
Marketing and distribution costs	(65 487)	(86 303)	(173 208)	(314 258)	(269 006)
Administrative expenses	(588 964)	(669 899)	(744 416)	(954 283)	(781 441)
Other operating expenses	(326 748)	(512 763)	(531 657)	(596 545)	(305 148)
Operating profit	701 571	380 397	506 792	1 567 674	1 131 574
Finance costs (net)	(387 426)	(385 149)	(551 349)	(212 135)	(4 774)
Restructuring costs	(185 703)	(108 642)	-	(441 271)	(441 679)
Profit/(loss) before taxation	128 442	(113 394)	(44 557)	934 268	685 221
Taxation	(32 570)	(25 468)	14 505	(304 054)	(202 421)
Profit/(loss) after taxation	95 872	(138 862)	(30 052)	630 214	482 800
Dividend	(102 000)	(102 000)	(102 000)	(430 311)	(362 100)
Retained profit/(loss) for the period	(6 128)	(240 862)	(132 052)	199 903	120 700
Earnings per share (KSh)	0.19	(0.27)	(0.06)	1.24	0.95
Dividends per share (KSh)	0.20	0.20	0.20	0.84	0.71*
Corporate rate of taxation	35.0%	32.5%	32.5%	30.0%	30.0%

* Declared but not yet paid. See paragraph 7.6.4 below.

Subsequent to the introduction of more advanced sugar manufacturing methods, MSC undertook a restructuring programme with a view to improving its profitability. The company introduced a voluntary early retirement scheme, which was well received. A significant number of employees submitted applications to retire voluntarily and the company accepted 1 099 of those applications. Voluntary retirements began in 1999 and continued into the financial year ended 30 June 2001. Consequently, restructuring costs, as shown above, increased in 2000 and remained high in 2001.

Unusual and non-recurring costs of modernising and restructuring the company have been charged against the summarised income statements and are clearly indicated as "Restructuring costs". A summary of these costs is set out below:

	Year ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
Factory rationalisation					
Project management	105 206	38 734	-	-	-
Project administration	14 934	32 955	-	-	-
Performance guarantee	42 306	30 052	-	-	-
Insurance	2 782	4 084	-	-	-
Bank charges	20 475	2 817	-	-	-
	185 703	108 642	-	-	-
Voluntary retirement	-	-	-	307 058	441 679
Privatisation expenses*	-	-	-	134 213	-
	185 703	108 642	-	441 271	441 679

*These charges relate to expenses, such as the cost of advisers and other professionals, incurred in previous privatisation preparations, which the shareholders decided to write-off.

7.3. Profit forecast for the year ending 30 June 2002

	2002
<i>Sugar statistics</i>	
Cane crushed – tonnes	1 980 150
Sugar production – tonnes	226 461
Rendement	11%
Sugar sales – tonnes	236 311
Sugar stocks – tonnes	37 730
	Forecast
	KSh'000
Sales	8 686 288
Operating profit before interest	1 170 092
Net interest expense	188 286
Restructuring costs	185 000
Profit before taxation	796 806
Taxation	239 041
Profit after taxation	557 764
Dividend	418 321
Retained profit for the period	139 443
Earnings per share (KSh)	1.09
Corporate rate of taxation	30%

Note:

The profit forecast is based on management's prudent assumptions and has been prepared on the basis of the accounting policies used in previous years as set out in the reporting accountants' report in Annexure 2 of this prospectus. Forecast data regarding production is set out in section 5.9 of this prospectus. The forecast assumes that the financial impact of differences between actual and estimated inflation and exchange rates can be passed on to customers.

These projections are based on certain assumptions and are for illustrative purposes only. Actual results achieved may differ from those projected.

7.4. Share capital and borrowings of MSC

30 June 2001

KSh

Authorised share capital

545 000 000 shares with a par value of KSh2 each	1 090 000 000
--	---------------

Issued share capital

510 000 000 shares with a par value of KSh2 each	1 020 000 000
--	---------------

The company does not have any outstanding debenture capital and has not entered into any contract or agreement to issue any debenture capital.

On 18 September 2001, the company had unutilised bank overdraft facilities of approximately KSh120 million. Further, as of 18 September 2001, the company had not utilised any off-balance sheet financing.

There is no capital of the company that is under option or agreed conditionally to be put under option.

7.5. Adequacy of capital

The directors are of the opinion that the working capital available to the company is sufficient to meet its requirements for the foreseeable future and that any cash flow requirements can be adequately satisfied.

7.6. Dividends

7.6.1. The following dividends were declared and paid over the past 5 years:

Year	Dividend per share (KSh)*
30 June 2001	0.71**
30 June 2000	0.84
30 June 1999	0.20
30 June 1998	0.20
30 June 1997	0.20

* Based on 510 000 000 shares in issue, rounded to the nearest shilling.

** Declared but not yet paid. See paragraph 7.6.4 below.

7.6.2. MSC has adopted a dividend policy of paying total annual dividends of approximately 75% of the profit after tax earned in that financial year, subject to any need to set aside sufficient funds to facilitate expansion or to take advantage of any trading or acquisition opportunities that may arise from time to time. The intention of the policy is to enable the company to finance growth requirements into the future. The dividend policy will be reviewed by the directors from time to time in light of prevailing circumstances and future cash requirements.

7.6.3. It will be the policy of MSC from 2002 onwards, to declare and remit dividends yearly in or about September payable in October, in respect of each financial year.

7.6.4 It is anticipated that the first dividend payable to shareholders following the listing will be in respect of the dividend for the financial year ended 30 June 2001, of KSh0.71 per share, which was declared on 7 September 2001. The last day to register for the above dividend will be 4 January 2002 on which day the share registrars will close the register. The shares will, thus, trade cum-dividend until 4 January 2002. The dividend payment date is anticipated to be 18 January 2002.

- 7.6.5 Withholding tax on dividends of 5% will be levied on shareholders who are Kenyan residents or are non-Kenyan residents with a Kenyan branch. Withholding tax on dividends of 10% will be levied on shareholders who are non-residents and do not have a Kenyan branch.

The Income Tax Act (Cap. 470 of the Laws of Kenya) defines an individual as a resident if the individual:

- has a permanent home in Kenya and was present in Kenya for any period in a particular year of income under consideration;
- was present in Kenya for 183 days or more in a year of income; or
- was present in Kenya in a year of income and in each of the two preceding years of income averaging more than 122 days in each year of income.

The Income Tax Act (Cap. 470 of the Laws of Kenya) defines a body of persons as residents if:

- that body of persons is incorporated under a law of Kenya;
- the management and control of the body was exercised in Kenya in a particular year of income under consideration; or
- the body has been declared by the Minister, by a notice in the Gazette, to be resident in Kenya for any year of income.

8. PARTICULARS OF THE OFFER AND LISTING

8.1. Times and dates of the opening and closing of the offers

The offer will open at 08:00 on Monday, 24 September 2001 and will close at 15:00 on Friday, 19 October 2001.

8.2. Particulars of the offers

A public offer of 121 500 000 shares and preferential offers of 153 000 000 shares to outgrowers and 25 500 000 shares to employees are being made at a subscription price of KSh6.25 per share, payable in full on application, in the currency of Kenya, upon terms and conditions set out in this prospectus. The proceeds of the offer will accrue to the vendors after deducting related expenses. Applications for shares made in terms of the offer will not be revocable.

8.3. Details of the public offer

- 8.3.1. A total of 121 500 000 shares are being offered for sale, at a subscription price of KSh6.25 per share, to the general public, who are invited to apply on the application forms attached to this prospectus in terms of the public offer.
- 8.3.2. This offer is being undertaken with the objective of privatising MSC through a listing on the NSE and in the interest of achieving the Government's objective of broadening share ownership amongst the Kenyan public. As the Government does not require a minimum number of its shares to be sold through this offer, the vendors have agreed to retain all unsubscribed shares in proportion to the shares offered by them in terms of the public offer.
- 8.3.3. An oversubscription in terms of the public offer will result in applicants not necessarily being allocated all of the shares for which they applied. The vendors have agreed to a "greenshoe option" whereby, in the event of a significant oversubscription to the public offer, they will make available upto an additional 45 000 000 shares, the equivalent of 15% of the offer, to be allocated to applicants. Citizens of Kenya may be favoured in the allocation process.
- 8.3.4. The directors, through the PC, reserve the right to accept or reject any application in terms of the public offer, either in whole or in part, or to accept some applications in full and others in part, in such manner as they may determine.
- 8.3.5. An announcement regarding the allotment will be made by Friday, 2 November 2001.

8.4. Details of the preferential offer to outgrowers

- 8.4.1. Prior to issuing this prospectus, the Government reserved 153 000 000 shares, representing 30% of the issued share capital, for sale to the MSC outgrowers.
- 8.4.2. In terms of the MSC outgrower share purchase scheme, established by outgrowers in 1995 and administered by MOCO, outgrowers had, by the end of April 2001, saved KSh898 million to be applied to the purchase of MSC shares in terms of the preferential offer to outgrowers.
- 8.4.3. Under the preferential offer to outgrowers, MOCO, on behalf of the outgrowers, applied for 143 680 000 shares, representing 28.2% of the issued share capital of MSC. These shares will be allocated to outgrowers on the following basis:
 - 8.4.3.1 The amount of money saved, including interest accrued, in each outgrower's account will be divided by the subscription price of KSh6.25 per share, which amount will be rounded upward to the nearest 10 shares; and
 - 8.4.3.2 every outgrower allocated shares in accordance with paragraph 8.3.4.1 may be allocated additional shares at no consideration for participation in the scheme.

- 8.4.4. The shares allocated in terms of the preferential offer to outgrowers will rank pari passu with all other shares in issue.
- 8.4.5. The preferential offer to outgrowers will result in MSC having at least 55 000 shareholders, therefore satisfying the NSE minimum shareholding and shareholder spread requirement. The NSE at a minimum, requires that public shareholders not being less than 1 000 shareholders excluding employees of MSC, hold at least 25% of the issued shares of a company.
- 8.4.6. Outgrowers will be able to collect their share certificates from Wednesday, 7 November 2001 onwards from the MOCO Head Office in Mumias. Outgrowers will be able to trade in their shares after they have collected their share certificates, have completed the counterfoil in full and have returned the said counterfoils to Image Registrars.
- 8.4.7. For the reason outlined in paragraph 8.4.3 above, the outgrowers are not required to complete application forms in terms of the preferential offer to outgrowers but may apply, as members of the general public, for shares in terms of the public offer.
- 8.4.8. It is anticipated that outgrowers will continue to save money through the MSC outgrower share ownership scheme to purchase the remaining, if any, reserved shares from the Government by way of private placements subject to the CMA's approval. These shares are expected to be acquired in tranches, on a three monthly basis starting from the end of January 2002, at the prevailing NSE quoted market price at the time of purchase. The Government has granted the outgrowers a period of three years from the time of listing within which to acquire the remaining shares reserved for them.

8.5. Details of the preferential offer to employees

- 8.5.1. Prior to the issue of this prospectus, a total of 25 500 000 shares were reserved for employees by the Government, who are invited to apply on the pink application form obtainable from the MSC Human Resources Department, if applicable.
- 8.5.2. The shares allocated in terms of the preferential offer will rank pari passu with all other shares in issue.
- 8.5.3. An undersubscription in terms of the preferential offer to employees will be allocated in terms of the public offer.
- 8.5.4. An oversubscription in terms of the preferential offer to employees will result in applicants not necessarily being allocated all of the shares for which they applied, subject to the same conditions as are applicable to the public offer.
- 8.5.5. Employees may also apply, as members of the general public, for shares in terms of the public offer.

8.6. Minimum subscription

As this is an offer for sale by the vendors and, as MSC is not raising any new capital, no minimum subscription is required.

8.7. Stock exchange listing

- 8.7.1. Application for the listing of MSC on the NSE in the MIMS has been made to the CMA. Approval for the offer has been received from the CMA and approval for the listing of 510 000 000 shares has been received from the NSE.
- 8.7.2. It is expected that the listing of the shares will commence on or about Wednesday, 14 November 2001.
- 8.7.3. Shares will be in registered form. However, in line with the NSE's long-term objective of dematerialising scrip, shares may be dematerialised in accordance with the NSE's future requirements.

8.8. Procedure for application and payment

- 8.8.1. Copies of the prospectus, including application forms, can be obtained from the following institutions:

MSC – Nairobi office

Royal Ngao House

Hospital Road

Nairobi

(Tel: 712 317/8, Fax: 712 316)

MSC – Mumias office

Mumias

Joint-lead sponsoring stockbroker

Kestrel Capital (East Africa) Limited

7th Floor

Hughes Building

Kenyatta Avenue

Nairobi

(Tel: 251 758, Fax: 243 264)

Joint-lead sponsoring stockbroker

Shah Munge & Partners Limited

12th Floor

Nation Centre

Kimathi Street

Nairobi

(Tel: 227 300, Fax: 213 024)

Details of receiving agents or participating stockbrokers are set out in Annexure 8 of the prospectus.

- 8.8.2. The completed application form, together with payment, as provided in paragraph 8.10 below, may be either;

- submitted to one of the institutions set out in Annexure 8 of this prospectus to ensure that the application reaches the offices of the receiving agent by 15:00 Friday, 19 October 2001 at the latest;

or

- posted at the sender's risk to:

MSC OFFER

c/o Image Registrars

Receiving Department

PO Box 9287

00100 Nairobi GPO

Applicants are advised to take into consideration postal delivery times when posting applications, as postal deliveries not received at the postal address above by 15:00, Friday, 19 October 2001 may not be accepted.

8.9. Conditions attached to the applications and completion of application forms

- 8.9.1. Application forms must be completed in accordance with the provisions contained in this prospectus and the instructions set out on the application form.
- 8.9.2. Applications in terms of the public offer may only be made on pre-printed application forms or application forms attached to this prospectus. Photocopies or other reproductions of application forms will not be accepted.
- 8.9.3. Applications must be for a minimum of 1 000 shares and in multiples of 100 shares thereafter.
- 8.9.4. Applications will only be considered when value has been received, for the full amount payable on the application, in the Mumias Sugar Company Limited Share Offer account held with the banker to the offer.
- 8.9.5. All applications received from a single applicant shall be aggregated and treated as a single application in terms of the public offer.
- 8.9.6. Minors must be assisted as far as is necessary by law.
- 8.9.7. All alterations on the application form, other than the deletion of alternatives, must be authenticated by the full signature of the applicant.
- 8.9.8. No receipts will be issued by MSC or the vendors for applications or remittances.
- 8.9.9. Persons or companies applying in a nominee capacity must disclose the names and addresses of their principals and the number of shares applied for on behalf of each principal.
- 8.9.10. Applications sent by facsimile or by any means other than the methods stipulated in the prospectus will not be accepted.
- 8.9.11. The vendors reserve the right to alter, relax or waive any of the terms and conditions with respect to the making of applications as they, in their sole discretion, may deem fit.

8.10. Application monies

- 8.10.1. Each application form must be accompanied by a postal order, a banker's or broker's cheque drawn on a licensed bank in consideration of the full amount of shares for which the applicant applied. No personal cheques will be accepted. Furthermore, the following should be noted and complied with:
 - 8.10.1.1. Presentation of cheques for payment shall not amount to the acceptance of any offer.
 - 8.10.1.2. Banker's cheques must be made payable in favour of "Mumias Sugar Company Limited Share Offer".
- 8.10.2. The amount due is KSh6.25 per share applied for at the time of submission of an application and is payable in shillings.
- 8.10.3. All monies received in respect of the applications will be held in trust by the banker to the offer, pending fulfillment of the condition precedent set out in paragraph 8.7.2 above.

8.10.4. In the event of an application being rejected in whole or accepted for a lesser number of shares than that for which an applicant applied for, refund cheques in shillings or drafts denominated in USD, depending on whether the application was a local or foreign application, will be posted by registered mail at the risk of the applicant concerned to the applicant's postal address as shown on the application form or will be collectable from the branch of the corresponding agent bank as elected and indicated by applicants on their submitted application forms. Interest will not be paid on any monies refunded.

8.11. Transfer of shares

8.11.1. All shares offered and allotted in terms of this prospectus will be transferred to successful applicants at the expense of MSC. The costs of subsequent transactions will be borne by shareholders.

8.11.2. All shares transferred in terms of this prospectus will be allotted and transferred subject to the provisions of the memorandum and articles of association of MSC, and will rank *pari passu* in all respects.

8.11.3. Applicants may be able to collect their share certificates and any refund cheques from their respective agents as chosen on their application forms from Wednesday, 7 November 2001, or the share certificates and any refund cheques will be posted to the applicant by registered mail to the address shown on the relevant application form, at the applicant's risk, by Monday, 5 November 2001.

8.11.4. MSC and the share registrars accept no liability for any certificates that may be lost in the post. No request for the issue of replacement certificates will be considered before Friday, 30 November 2001. Thereafter, only requests made in writing and accompanied by an indemnity form available from the Company Secretary will be considered.

8.11.5. On acceptance of any application, the directors will, as soon as possible after the fulfillment of the condition precedent referred to in paragraph 8.7.2 above, register the allotted shares in the name of the applicant concerned.

8.11.6. MSC will issue block certificates for the shares allotted and transferred in terms of the offer.

8.12. Resident status

Every applicant is required to complete the declaration on the Application Form concerning his/her residence status. The Capital Markets Authority (Foreign Investors) (No. 2) Regulations, 1995, defines a resident of Kenya in relation to:

8.12.1 An individual, meaning a Kenyan citizen or resident individual within the meaning of the Income Tax Act (Cap. 470 of the Laws of Kenya); and

8.12.2 a body corporate, meaning a company registered under the Companies Act (Cap. 486 of the Laws of Kenya), or a foreign company registered under Part X of the Companies Act, or any other body corporate established or incorporated in Kenya under the provisions of any written law.

8.12.3. Every other person is deemed non-resident.

8.13. Foreign applicants

The following summary is intended as a guide and is not comprehensive. If you are in any doubt as to what action to take, please consult your professional adviser.

8.13.1. Pursuant to the Capital Markets Authority (Foreign Investors) (No. 2) Regulations, 1995, persons who are not resident in Kenya, defined in paragraph 8.12 above, may apply for the shares that are the subject of the offer. However, under the regulations, (and for so long as the regulations remain in force) not more than 5% of the shares of a company may be purchased by a single foreign investor and not more than 40% of such shares may be held by foreign investors in the aggregate.

8.13.2. Certificates for shares owned by foreign investors must be deposited with an authorised depository in Kenya in accordance with the regulations. Any foreign investor who wishes to apply for shares should obtain guidance from an authorised agent before completing and lodging an application form.

8.13.3. This prospectus is not an offer in any area of jurisdiction in which it is illegal to make such an offer. In such circumstances, this prospectus and the application form are sent for information purposes only.

8.13.4. Foreign applicants must inform themselves of all costs involved. Payments in foreign currency must be in US\$.

8.14. Governing law

This prospectus and any contract resulting from the acceptance of an application to purchase MSC shares shall be governed by and construed in accordance with the Laws of Kenya and it shall be a term of each such contract that the parties thereto and all other interested parties submit to the exclusive jurisdiction of the Courts of Kenya.

9. TIMES AND DATES OF THE OFFER

The table below sets out the important dates of the offer:

	Time	Date
Offer opens	08:00	Monday, 24 September 2001
Offer closes	15:00	Friday, 19 October 2001
Announcement of allotment	By close of business	Friday, 2 November 2001
Share certificates and any refund monies posted	By close of business	Monday, 5 November 2001
Share certificates and any refund monies available for collection	By close of business	Wednesday, 7 November 2001
Anticipated listing date		Wednesday, 14 November 2001

10. EXPENSES OF THE OFFER AND LISTING

- 10.1 The estimated expenses of the offer and listing, which will be for the account of MSC, are set out in the table below:

	KSh million
Advertising and printing	17.5
Approval and listing fees	10.1
Professional fees	15.6
Other costs	5.0
Total	48.2

- 10.2 Other estimated expenses of the offer and listing, which will be proportionally payable out of the proceeds of the offer by the vendors, are set out in the table below and include brokerage fees of 1.5% of the value of successful applications lodged through one of the stockbrokers, listed in Annexure 8 of this prospectus, and 1.0% of the value of successful applications lodged through one of the agent banks.

	KSh million
Brokerage	19.5
Professional fees	87.8
Total	107.3

- 10.3 The total estimated expenses of the offer and listing are KSh155.5 million, as set out above.
- 10.4 Deemed interest on funds held subsequent to the closing of the offer and prior to making refunds is payable to the Investor Compensation Fund.
- 10.5 MSC has not paid any commission or consideration relating to the acquisition of any shares of the company during the two years preceding the date of this prospectus.

11. MATERIAL AGREEMENTS

11.1. Material contracts

A management services agreement has been entered into between the company and BTL.

An agreement dated 28 May 1976 between MOCO and MSC relating to the Mumias Outgrower Scheme.

MSC has been in discussions with BSC regarding a possible memorandum of understanding between the two companies. Conclusion of a memorandum of understanding, to set out a framework for future commercial cooperation between MSC and BSC, will only happen upon conclusion of a satisfactory due diligence on BSC.

11.2. Management, secretarial and technical fees that have been paid or are payable in respect of the past three years

Management fees averaging KSh60 308 000 per annum have been paid to BTL for the past three years and management fees of KSh69 195 000 for the year ended 30 June 2001 are payable to BTL. No royalties or items of a similar nature are payable.

11.3. Details of material property leases

Details of material property leases are contained in Annexure 5 of this prospectus.

11.4 Long-term loan agreements

A loan agreement between MSC and Barclays, KCB, KFC and Stanbic for KSh1 250 million was entered into on 30 December 1994. Repayment of the loan is due for completion in April 2003.

A loan agreement between MSC and East African Development Bank for KSh320 million was entered into on 14 October 1994. Repayment of the loan is due for completion in December 2001.

12. DOCUMENTS AVAILABLE FOR INSPECTION

The following documents, or copies thereof, will be available for inspection at MSC's registered office and MSC's Nairobi office, for the period that the offer is open, during normal business hours:

- 12.1. The memorandum and articles of association of MSC;
- 12.2. copies of any special or notarial contracts bearing on the memorandum and articles of association within the last five years;
- 12.3. copies and summaries of the material contracts set out in section 11 above;
- 12.4. the irrevocable undertaking by MOCO, dated 14 September 2001, whereby section 8.4 above will be implemented;
- 12.5. the audited accounts of MSC for the preceding five years, together with all notes, certificates, and information required by the Act;
- 12.6. the audited final statements for the company for the year ended 30 June 2001;
- 12.7. the property, plant and equipment valuation as at 30 June 2001;
- 12.8. the written consent of the reporting accountants to the publication of their reports dated 18 September 2001, the texts of which are included in Annexures 1 and 2, and references thereto, in the form and context in which they appear in the prospectus;
- 12.9. the legal opinion, which is included in Annexure 3;
- 12.10. the written statement, signed by the reporting accountants as required by Section 42 of the Act;
- 12.11. the written consents of the financial advisers, lawyers, reporting accountants and joint-lead sponsoring stockbrokers named in this prospectus to act in those capacities;
- 12.12. the approval of the CMA relating to the offer; and
- 12.13. the approval of the NSE relating to the listing.

13. DIRECTORS' RESPONSIBILITY

The directors, whose names are given in paragraph 6.1.1 of this prospectus and below, collectively and individually accept full responsibility for the accuracy of the information given in this prospectus and certify, to the best of their knowledge and belief, that there are no other facts, the omission of which would make any statement false or misleading and that they have made all reasonable enquiries to ascertain such facts and that this prospectus contains all information required by law.

SIGNED IN NAIROBI ON 18 SEPTEMBER 2001 BY THE DIRECTORS OF MSC.

Mr M K Sang - Chairman

Mr F M Chahonyo

Mr K Gatabaki

Mr J K Kiairie

Prof S E Migot-Adholla

Mr M Mwachofi

Hon S A Wako

Mr B Yates

SIGNED IN NAIROBI ON 18 SEPTEMBER 2001 ON BEHALF OF THE VENDORS OF THE MSC SHARES OFFERED FOR SALE IN TERMS OF THIS PROSPECTUS.

Mr M Mwachofi

Permanent Secretary to the Treasury

Mr M Turner

CJC

REPORTING ACCOUNTANTS' REPORT ON THE PROFIT FORECAST

"The Directors
Mumias Sugar Company Limited
Private Bag
Mumias

18 September 2001

Members of the Board

PROFIT FORECAST FOR THE YEAR ENDING 30 JUNE 2002

We have reviewed the accounting bases and calculations of the profit forecast of Mumias Sugar Company Limited for the year ending 30 June 2002, for which you as Directors are solely responsible, as set out in section 7.3 of the prospectus to be issued on or about 24 September 2001.

In our opinion, the forecast, as far as the accounting bases and calculations are concerned, has been properly compiled on the basis of the assumptions made by yourselves and set out in section 7.3 of this prospectus and is presented on a basis consistent with the accounting policies normally adopted by Mumias Sugar Company Limited.

Since the forecast is based on assumptions concerning future events, actual results may vary from the forecast which has been presented and the variations may be material. Accordingly, we express no opinion on whether or not the forecast will be achieved.

We consent to the inclusion of this letter that will form part of the prospectus to be issued on or about 24 September 2001, in the form and context in which it appears.

Yours faithfully

Deloitte & Touche
Certified Public Accountants (Kenya)"

REPORTING ACCOUNTANTS' REPORT

"The Directors
Mumias Sugar Company Limited
Private Bag
Mumias

18 September 2001

Dear Sirs

REPORTING ACCOUNTANTS' REPORT ON MUMIAS SUGAR COMPANY LIMITED ("MSC" OR "THE COMPANY")

in terms of section 19 of the Third Schedule of the Companies Act (Cap. 486) and the Listing Rules of the Nairobi Stock Exchange, we report hereunder on the results of MSC in respect of each of the five financial years ended 30 June 2001 and on the assets and liabilities at 30 June 2001 being the date to which the last audited financial statements were prepared.

1. INTRODUCTION

The financial information set out in this report is compiled with reference to the audited financial statements of MSC for the five years ended 30 June 2001 after making such adjustments as we considered necessary for the purposes of the prospectus.

Deloitte & Touche have been auditors of MSC, and have reported on the annual financial statements of MSC without qualification, throughout the five - year period covered by this report.

The audited financial statements for the year ended 30 June 2001 were approved by the Board of Directors on 7 September 2001 and were adopted by the members at the Annual General Meeting held on 7 September 2001.

2. COUNTRY OF INCORPORATION AND PRINCIPAL ACTIVITIES

MSC is incorporated in Kenya under the Companies Act (Cap. 486) and its principal activities are the growing and milling of sugar cane, selling of sugar as well as providing support to sugar cane outgrowers.

3. CURRENCY

The financial statements are expressed in Kenya Shillings Thousands (KShs '000).

4. DIRECTORS' RESPONSIBILITY

The directors of MSC are responsible for the preparation of the prospectus to be issued on or about 24 September 2001, and all information contained therein and for the financial statements and financial information to which this accountants' report relates and from which it has been prepared. Our responsibility is to complete the financial information set out in our report from the financial statements, to form an opinion on the financial statements and to report thereon.

5. ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of the financial statements are set out below:

5.1 Basis of preparation

The financial information set out below is based on audited financial statements for the five years ended 30 June 2001.

The audited financial statements have been prepared on the basis of the accounting policies set out below. For all the accounting periods dealt with in this report, the financial statements have been prepared in accordance with and comply with International Accounting Standards (IAS). The financial statements are prepared under the historical cost basis of accounting as modified to include the revaluation of certain property, plant and equipment.

5.2 Revenue recognition

Sales of sugar and molasses are recognised upon delivery or collection of product by customers during the year and are stated net of value added tax, sugar development levy and discounts. The sugar development levy does not apply to molasses sales.

Other income earned by the company is recognised as it accrues.

5.3 Taxation

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

5.4 Property, plant and equipment

Property, plant and equipment are stated at cost or at professionally revalued amounts less accumulated depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve in shareholders' equity. Decreases that offset previous increases of the same asset are charged against the revaluation reserve. All other decreases are charged to the income statement.

Depreciation is calculated using the straight-line method to write off the cost or the revalued amount of each asset to their estimated residual values over their estimated useful lives. The annual rates generally in use are:

Land development	2%
Buildings	2% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile agricultural machinery	12% - 25%
Motor vehicles	20%
Other equipment and fixtures	12% - 33 1/3 %

Depreciation on mill rollers in Kenya Shillings is taken as the higher of the total cane tonnage milled in the year multiplied by a factor of 1.25 and straight line depreciation over ten years.

Gains and losses on disposal of property, plant and equipment are determined with reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

5.5 Intangible assets

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for impairment where it is considered necessary. Intangible assets are not revalued.

5.6 Trade investment

Trade investment is stated at cost less provision where, in the opinion of the directors, there is a permanent diminution in value. Where there has been a permanent diminution in value, such diminution is charged to the income statement in the year in which it is identified.

5.7 Inventories

Finished sugar and molasses stocks are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process.

Sugar in process is stated at half the production cost of finished sugar.

Spares, fertilisers, chemicals and other consumable stores are stated at cost. Cost is calculated on a weighted average basis and includes the direct purchase cost, insurance, freight and other incidental costs.

Growing cane is valued at the direct average cost of growing cane at the balance sheet date. Direct average cost represents all costs incurred in establishing and maintaining growing cane.

5.8 Trade receivables

Trade receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off during the year in which they are identified.

5.9 Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement in the year in which they arise.

5.10 Retirement benefit obligations

Defined benefit scheme

The company operates a defined retirement benefit pension scheme for eligible non-unionisable employees. The assets of the scheme are held and administered independently of the company's assets. The scheme is funded by contributions from both the company and the employees. The company's contributions to the scheme are charged to the income statement so as to spread the regular cost over the service lives of employees in accordance with the advice of qualified actuaries who carry out a full valuation of the scheme every three years. The last actuarial valuation was carried out on 1 July 2001. All actuarial gains and losses are spread forward over the average remaining service lives of employees.

National Social Security Fund

The company contributes to the statutory National Social Security Fund. This is a contribution to a statutory scheme for which the company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to KSh80 per employee per month. The company's contributions are charged to the income statement in the year to which they relate.

Service gratuity

Unionisable employees who resign or whose services are terminated after five years of continuous service with the company are entitled to twelve days gratuity payment for each completed year of service. Unionisable employees whose termination of service is occasioned by retirement, medical grounds or death are entitled to twenty-four days gratuity payment for each completed year of service.

Gratuity payments are based on the employee's salary at the time of resignation or termination of service, as provided for in the trade union agreement with the company. An employee who is dismissed or whose employment with the company terminated for gross misconduct is not entitled to gratuity.

The service gratuity is provided for in the accounts as it accrues to each employee.

5.11 Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

6. PROFIT HISTORY

The summarised income statements of MSC for the five years ended 30 June 2001 are as follows:

		Year ended 30 June				
	Notes	1997 KSh'000	1998 KSh'000	1999 KSh'000	2000 KSh'000	2001 KSh'000
Sales	1	6 571 830	6 186 102	6 407 988	9 905 072	6 659 315
Cost of sales		(4 892 988)	(4 547 565)	(4 494 894)	(6 515 810)	(4 289 844)
Gross profit		1 678 842	1 638 537	1 913 094	3 389 262	2 369 471
Other operating income		3 928	10 825	42 979	63 498	117 798
Marketing and distribution costs		(65 487)	(86 303)	(173 208)	(314 258)	(269 006)
Administrative expenses		(588 964)	(669 899)	(744 416)	(954 283)	(781 441)
Other operating expenses		(326 748)	(512 763)	(531 657)	(596 545)	(305 148)
Operating profit	2	701 571	380 397	506 792	1 587 674	1 131 674
Finance costs (net)	4	(387 426)	(385 149)	(551 349)	(212 135)	(4 774)
Restructuring costs		(185 703)	(108 642)	-	(441 271)	(441 679)
Profit/(loss) before taxation		128 442	(113 394)	(44 557)	934 268	685 221
Taxation	5	(32 570)	(25 468)	14 505	(304 054)	(202 421)
Profit/(loss) after taxation		95 872	(138 862)	(30 052)	630 214	482 800
Dividend	6	(102 000)	(102 000)	(102 000)	(430 311)	(362 100)
Retained profit/(loss) for the year		(6 128)	(240 862)	(132 052)	199 903	120 700
Earnings per share (KSh)	7	0.19	(0.27)	(0.06)	1.24	0.95

The results shown above, which differ from those shown in the audited financial statements due to the adoption of International Accounting Standards in years 1999/2000, have been reconciled to the results shown in the audited financial statements as follows:

		Year ended 30 June				
		1997 KSh'000	1998 KSh'000	1999 KSh'000	2000 KSh'000	2001 KSh'000
Profit/(loss) after taxation as reported		182 678	23 163	(140 450)	573 748	482 800
Deferred taxation (IAS 12)		(32 570)	(25 468)	77 062	56 466	-
Restated on income tax		57 564	-	33 336	-	-
Employee benefits						
- Service gratuity (IAS 19)		(95 316)	(118 370)	-	-	-
- Staff leave pay (IAS 19)		(16 483)	(18 187)	-	-	-
Profit/(loss) after taxation as above		95 872	(138 862)	(30 052)	630 214	482 800

7. BALANCE SHEETS

		Years ended 30 June				
	Notes	1997 KSh'000	1998 KSh'000	1999 KSh'000	2000 KSh'000	2001 KSh'000
ASSETS						
Non current assets						
Property, plant and equipment	8	6 353 312	6 279 422	5 974 355	5 690 682	6 437 891
Intangible assets		-	-	20 575	14 054	6 883
Non-current receivables		27 069	28 013	25 489	43 685	76 918
Trade investment		1	1	1	1	1
		6 380 382	6 307 436	6 020 420	5 748 422	6 521 693
Current assets						
Inventories and other		1,735,184	2,244,432	3,194,865	2,377,665	3,696,215
assets held for sale	x	923 545	1 444 523	2 364 218	1 395 727	2 756 451
Trade and other receivables	x	776 258	756 451	786 779	933 501	930 811
Taxation recoverable	x	35 381	43 458	43 868	48 437	-
Cash and bank balances		126 795	2 243	37 125	106 169	6 181
		1 861 979	2 246 675	3 231 990	2 483 834	3 693 443
Total assets		8 242 361	8 554 111	9 252 410	8 232 256	10 215 136
EQUITY AND LIABILITIES						
Capital and reserves						
Share capital	9	1 020 000	1 020 000	1 020 000	1 020 000	1 020 000
Revaluation reserve		2 031 505	2 034 711	2 106 867	2 046 912	2 869 056
Retained earnings		1 006 416	843 187	656 775	927 792	1 102 939
Dividend reserve (gross)		102 000	102 000	102 000	226 311	362
		4 159 921	3 999 898	3 885 642	4 221 015	5 354 095
Non current liabilities						
Loans	10	884 929	74 247	792 320	441 685	224 650
Deferred income taxes		808 319	785 301	719 665	1 006 146	1 409 560
Retirement benefit obligations		325 576	422 640	595 490	568 539	487 453
		2 018 824	1 282 188	2 107 475	2 016 370	2 121 663
Current liabilities						
Trade and other payables	x	1 017 409	1 437 900	2 081 061	1 312 244	1 486 292
Loans payable within one year	10	827 808	1 133 852	459 302	299 258	246 876
Bank overdrafts (secured)		3 363	576 097	466 144	90 666	807 488
Taxation payable		-	-	-	-	100 039
Dividend payable (gross)		200 000	102 000	204 000	204 000	-
Provision for staff leave pay	x	15 036	22 176	48 786	88 703	98 683
		2 063 616	3 272 025	3 259 293	1 994 871	2 739 378
Total equity and liabilities		8 242 361	8 554 111	9 252 410	8 232 256	10 215 136
48	NWC	702,739	784,356	1,065,018	3,778,612	2,111,287
	Outflow		(41,612)	(700,112)	(3,713,941)	(167,725)

8. CASH FLOW STATEMENT

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
OPERATING ACTIVITIES					
Cash generated from operations	915 424	714 080	814 676	1 655 837	192 716
Interest paid on overdrafts	(29 470)	(60 621)	(244 823)	(61 474)	(49 217)
Interest received	156 422	81 136	48 745	84 851	152 245
Taxation paid	(6 455)	(8 077)	(33 746)	(4 569)	(2 878)
Service gratuity paid	(15 780)	(21 305)	(3 244)	(80 143)	(111 265)
Staff leave paid	(12 333)	(11 047)	(1 798)	(18 005)	(73 922)
Net cash from operating activities	1 007 808	694 166	579 810	1 576 497	107 769
INVESTING ACTIVITIES					
Purchase of property, plant and equipment	(722 792)	(292 503)	(133 522)	(104 307)	(160 240)
Purchase of intangible assets	-	-	-	(11 137)	(1 228)
Proceeds from disposal of property, plant and equipment	2 439	3 149	2 505	22 749	40 079
Interest received on short-term deposits	9 464	14 056	2 260	8 521	2 465
Net cash used in investing activities	(710 889)	(275 298)	(128 757)	(84 174)	(118 924)
FINANCING ACTIVITIES					
Loans received	175 186	58 395	-	-	30 000
Loans repaid	(105 763)	(608 952)	(28 778)	(530 876)	(296 466)
Interest paid on loans	(385 662)	(365 597)	(277 440)	(210 925)	(108 878)
Dividends paid	(155 000)	(200 000)	-	(306 000)	(430 311)
Net cash generated from/ (used) in financing activities	(471 239)	(1 116 154)	(306 218)	(1 047 801)	(805 655)
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS					
	(174 320)	(697 286)	144 835	444 522	(816 810)
MOVEMENT IN CASH AND CASH EQUIVALENTS					
Balance at beginning of year	297 752	123 432	(573 854)	(429 019)	15 503
Increase/(decrease) in cash and cash equivalents	(174 320)	(697 286)	144 835	444 522	(816 810)
Balance at end of year	123 432	(573 854)	(429 019)	15 503	(801 307)

NOTES TO THE PROFIT HISTORY AND BALANCE SHEETS

Set out below are the notes to the results for the five financial years ended 30 June 2001 and the notes to the statement of assets and liabilities at 30 June 2001. These notes have been extracted from the relevant audited financial statements covering the years under review:

1. SALES

Sales represents sales of sugar and sugar products to third parties net of discounts, sugar development levy and value added tax.

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
Gross sales	7 557 604	7 229 519	7 633 948	12 098 260	8 311 329
Less: Value added tax	529 750	615 315	782 206	1 491 200	1 184 421
Sugar development levy	456 024	428 102	443 754	687 281	455 819
Sales discount	-	-	-	14 707	11 774
Total taxes and discounts	985 774	1 043 417	1 225 960	2 193 188	1 652 014
Net sales	6 571 830	6 186 102	6 407 988	9 905 072	6 659 315

2. OPERATING PROFIT

Operating profit is arrived at after taking into account the following items:

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
After charging:					
Staff costs (note 3)	864 478	1 052 302	1 244 129	1 300 705	1 248 711
Subsidy to outgrowers	142 282	284 979	292 138	237 228	375 456
Depreciation on property, plant and equipment	220 945	360 227	373 898	373 137	387 262
Amortisation of intangible assets	-	-	2 201	9 137	8 399
Assets impairment loss	-	-	-	22 126	5 000
Management fees – fixed	23 597	38 347	43 060	49 764	48 988
Management fees – performance related	-	-	4 791	44 961	28 696
Directors emoluments – fees	440	350	300	350	350
Directors emoluments – other	2 803	3 652	4 832	3 370	4 356
Auditors' remuneration	1 500	1 800	2 000	2 500	2 750
Deficit on revaluation of property, plant and equipment	-	-	-	-	26 684
PAYE and VAT penalties	-	-	5 785	42 507	12 781
Provision for bad debts	55 181	37 152	11 661	22 123	24 824
Loan rescheduling fee	-	-	-	7 823	-
Loss on disposal of plant and equipment	5 325	3 017	-	-	-
Share of loss on imported sugar	82 883	-	-	-	-
After crediting					
Profit on disposal of plant and equipment	-	-	963	10 386	22 137
Insurance compensation on boiler repairs-	-	-	-	92 258	-

3. STAFF COSTS

Staff costs are arrived at after taking the following items into account:

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
Salaries and allowances:					
- management staff	116 193	159 462	130 185	159 734	236 343
- supervisory and clerical	141 070	199 096	239 784	269 904	309 962
- manual grade	415 735	463 738	515 063	607 500	481 347
- casual labour	35 332	42 398	50 130	54 389	45 377
Termination benefits	3,404	12 739	23 616	19 775	14 367
Pension:					
- defined benefit scheme	9 593	16 435	43 195	69 772	40 439
- statutory defined contribution scheme	6 781	6 237	4 401	4 147	3 302
Pension administration fee	4 020	4 132	4 120	4 370	3 493
Provision for service gratuity	95 316	118 369	176 094	53 192	30 179
Provision for staff leave	16 483	18 187	28 408	57 922	83 902
Other employee related costs	20 551	11 509	29 133	-	-
	864 478	1 052 302	1 244 129	1 300 705	1 248 711

The average number of employees during the years comprised:

	Years ended 30 June				
	1997	1998	1999	2000	2001
Permanent employees	4 836	4 662	4 531	3 920	3 240
Registered seasonal employees	14 959	15 100	12 579	12 579	14 389
	19 795	19 762	17 110	16 499	17 629

4. FINANCE COSTS

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
Interest expense					
On loans	393 223	365 597	277 440	222 925	117 679
On bank overdrafts	29 470	60 621	189 182	61 474	49 127
On MOCO current accounts	-	-	32 230	-	-
On farmers contributions for shares	-	-	23 411	-	-
	422 693	426 218	522 263	284 399	166 806
Net exchange losses/(gains)					
On foreign currency borrowings	27 471	45 919	72 301	20 197	(2 951)
On other exchange transactions	26 464	8 204	7 790	911	(4 371)
	53 935	54 123	80 091	21 108	(7 322)

Interest income					
On advances to farmers	(12 652)	(31 568)	(41 001)	(25 895)	(29 933)
On MOCO current account	(44 711)	(47 610)	(5 719)	(56 718)	(117 838)
On short term deposits	(9 464)	(14 056)	(2 260)	(8 521)	(2 465)
On staff loans	(1 562)	(1 958)	(2 004)	(2 197)	(3 153)
Other	(20 813)	-	(21)	(41)	(1 321)
	(89 202)	(95 192)	(51 005)	(93 372)	(154 710)
Net finance costs	387 426	385 149	551 349	212 135	4 774

5. **TAXATION**

	Years ended 30 June				
	1997	1998	1999	2000	2001
	KSh'000	KSh'000	KSh'000	KSh'000	KSh'000
a. Tax expense					
Current taxation based on the adjusted profit for the year at applicable rate	-	33 336	-	-	151 354
Deferred tax expense/(credit)	32 570	(7 868)	(14 505)	304 054	51 067
	32 570	25 468	(14 505)	304 054	202 421

b. Reconciliation of the expected tax based on accounting profit/(loss) to tax expense

Accounting profit/(loss) before taxation	128 442	(113 394)	(44 557)	934 268	685 221
Tax at the applicable rate	44 955	(36 853)	(14 481)	280 280	205 566
Tax effect of expenses not deductible for tax	21 316	21 066	23 978	92 923	30 735
Tax effect of income not taxable	(9 483)	-	(483)	(12 683)	(3 704)
Tax effect of reduction in tax rate	(21 109)	-	(24 633)	-	-
Deferred tax – adoption of IAS 12 (revised)	(3 109)	41 255	1 114	56 466	(30 176)
	32 570	25 468	(14 505)	304 054	202 421

The applicable tax rates for the income statements covered in this report are:

	Years ended 30 June				
	1997	1998	1999	2000	2001
Corporate rate of taxation	35.0%	32.5%	32.5%	30.0%	30.0%
Effective rate of taxation	25.4%	22.5%	32.6%	32.5%	29.5%

6. **DIVIDEND**

	Years ended 30 June				
	1997	1998	1999	2000	2001
Interim declared	-	-	-	204 000	-
Final proposed	102 000	102 000	102 000	226 311	362 100
	102 000	102 000	102 000	430 311	362 100
Dividend per share (KSh)	0.20	0.20	0.20	0.84	0.71
Dividend cover (times)	0.94	(1.36)	(0.29)	1.46	1.33

The dividend per share is calculated on the same basis as earnings per share (see note 7.)

7. EARNINGS PER SHARE

The earnings per share is calculated by dividing the net profit after taxation by 510 000 000, being the number of ordinary shares in issue at the date of publication of this prospectus. On 18 September 2001, the MSC shareholders approved a ten for one share split. Accordingly, the earnings per share has been calculated retrospectively by dividing the net profit after taxation by the resulting 510 000 000 ordinary shares with a par value of KSh2 per share in issue at the time of this report. The calculation of ordinary shares in issue is detailed in note 9.

8. PROPERTY, PLANT AND EQUIPMENT

30 June 2001

	KSh'000
Cost / valuation	
Land development	490 000
Buildings	1 683 467
Factory plant and equipment	3 939 972
Heavy mobile agricultural machinery	282 597
Motor vehicles	246 135
Other equipment and fixtures	313 257
Capital work in progress	26 990
	6 982 418
Accumulated depreciation	
Land development	-
Buildings	-
Factory plant and equipment	-
Heavy mobile agricultural machinery	196 873
Motor vehicles	174 971
Other equipment and fixtures	172 683
Capital work in progress	-
	544 527
Net book value	
Land development	490 000
Buildings	1 683 467
Factory plant and equipment	3 939 972
Heavy mobile agricultural machinery	85 724
Motor vehicles	71 164
Other equipment and fixtures	140 574
Capital work in progress	26 990
	6 437 891

9. SHARE CAPITAL

	KSh'000
<i>Authorised</i>	
54 500 000 ordinary shares of KSh20 each at 30 June 2001	1 090 000
545 000 000 ordinary shares of KSh2 each at the date of this report (following the share sub-division on 18 September 2001)	1 090 000
<i>Issued</i>	
51 000 000 ordinary shares of KSh20 each at 30 June 2001	1 020 000
510 000 000 ordinary shares of KSh2 each at the date of this report (following the share sub-division on 18 September 2001)	1 020 000

On 18 September 2001, the MSC shareholders approved a ten for one share split subdividing the authorised share capital of MSC from 54 000 000 ordinary shares with a par value of KSh20 each to 545 000 000 ordinary shares with a par value of KSh2 each, resulting in 510 000 000 ordinary shares with a par value of KSh2 each being in issue at the date of this report.

10. LOANS

	30 June 2001
	KSh'000
<i>Secured loans:</i>	
Secured local consortium financial institutions long term loans bearing interest at a rate of 17.5% per annum:	
Stanbic Bank Kenya Limited	76 962
Kenya Commercial Bank Limited	109 375
Kenya Commercial Finance Company Limited	46 875
Barclays Bank of Kenya Limited	156 250
	389 462
<i>Secured foreign currency long term loans:</i>	
East African Development Bank: Bearing interest at a rate of 12% per annum.	
US\$ 510 904	41 639
GBP 90 808	10 425
	52 064
<i>Unsecured loans:</i>	
Kenya Sugar Authority: Bearing Interest at 17% per annum.	30 000
<i>Total loans</i>	471 526
<i>Less: Current portion included in current liabilities</i>	(246 876)
<i>Non current loans</i>	224 650

The secured loans are secured by legal charges and debentures over all the company's assets.

The maturities of the non-current loans are as follows:

	30 June 2001
	KSh'000
Repayable between 1 and 2 years	194 650
Repayable between 2 and 5 years	30 000
Repayable after 5 years	-
	224 650

11. CONTINGENT LIABILITIES

The directors are not aware of any contingent liabilities as at 30 June 2001 that would require disclosure in this report.

12. CAPITAL COMMITMENTS

	30 June 2001
	KSh'000
Contracted for	70 503
Approved but not yet contracted for	319 497
	390 000

13. EXCHANGE RATES

The exchange rate of the Kenya Shilling against the currencies of its major trading partners at the end of each financial year was as follows:

	1997	1998	1999	2000	2001
KSh: US Dollar	54.43	59.55	72.90	78.00	79.00
KSh: UK Sterling	90.58	99.33	114.82	118.38	111.29
KSh: SA Rand	12.05	10.14	12.09	11.43	9.80

Source: Kenya Commercial Bank Limited

14. PENSION FUND

The company makes contributions to a defined retirement benefit scheme and to a statutory defined contribution pension scheme, the National Social Security Fund.

**Mumias Sugar Company Limited
Staff Retirement Benefit Scheme
(Kenya)**

Date of most recent actuarial valuation	1 July 2001
Frequency of valuation	3 years
Valuation method	Projected Unit Method
Actuarial deficit	KSh89 527 000
Employer contribution rate recommended in most recent actuarial valuation	23.6%
Actual employer contribution rate – 1 January 2000	23.6%
Principle assumptions:	
– Rate of salary inflation	8%
– Rate of return on investments	10%

15. OTHER MATTERS

15.1. The directors have certified that adequate provision has been made in these financial statements in respect of obsolete, damaged or defective stores and/or doubtful debts.

15.2. Debtors and creditors do not include any material items other than those arising in the ordinary course of business.

16. SUBSEQUENT EVENTS

We are not aware of any events subsequent to 30 June 2001 which have had or are likely to have a material effect on the financial information contained in this report.

17. **REVIEW CONCLUSION**

Our review revealed nothing that caused us to believe that the accompanying non-financial information and financial information set out in pages 28 to 31 is not fairly represented, in all material respects, in accordance with generally accepted accounting practice and in the manner required by the Companies Act (Cap. 486).

The financial statements have been audited for the year ended 30 June 2001. The audit procedures included tests of controls and verification of assets and liabilities and was performed in accordance with International Accepted Auditing Standards.

We consent to the inclusion of this report in the prospectus to be issued on or about 24 September 2001 in the form and context in which it appears.

18. **OPINION**

In our opinion, the financial information gives, for the purposes of the prospectus to be issued on or about 24 September 2001, a true and fair view of the state of affairs of the company as at the dates stated and of the results for the periods then ended.

Yours faithfully,

DELOITTE & TOUCHE
CERTIFIED PUBLIC ACCOUNTANTS (KENYA)"

LEGAL OPINION

The following is a copy of the Legal Opinion issued in accordance with Rule 33 (3) (f) of the Capital Markets Authority Rules, 1992.

"Mumias Sugar Company Limited
Private Bag
Mumias

18 September 2001

✓ We are the legal advisers of the offer for sale set out in the MSC prospectus dated 24 September 2001 ("the offer") to which this opinion is appended. In our opinion, based on the information made available to us by Mumias Sugar Company Limited ("MSC"):

1. All licences and consents required to perform the business of MSC have been duly obtained.
2. We have inspected the title documents for all MSC's properties and carried out confirmatory searches.
3. There is no other agreement or arrangement concerning the offer, save as disclosed in the MSC prospectus.
4. There is no material litigation, prosecution or other civil or criminal legal action in which MSC or any of its Directors as Directors of MSC are involved.
5. There are no other material items not mentioned in the MSC prospectus of which we are aware with regard to the legal status of MSC and the offer.

HAMILTON, HARRISON & MATTHEWS
ADVOCATES

ORARO & COMPANY
ADVOCATES"

DIRECTORS

Details of the current directors of MSC are as follows:

Name, business occupation	Nationality	Postal address	Residential address	Other directorships in Kenya
Michael K Sang, Chairman, MSC	Kenyan	PO Box 382 Turbo	Kipkaren Uashin Gishu District	Kenya Sugar Authority
Francis M Chahonyo, Chief Executive, KSA	Kenyan	PO Box 18733 Nairobi	Bogani Road Karen, Nairobi	Busia Sugar Company; Chemelil Sugar Company; Kenya Sugar Research Foundation; Nzoia Sugar Company; South Nyanza Sugar Company
Kungu Gatabaki, Manager, CDC Capital Partners	Kenyan	PO Box 43233 Nairobi	Hendred Avenue Valley Arcade Lavington	Development Bank of Kenya; First Permanent Limited; Housing Finance Company of Kenya; Kenya Building Society; Kenya Capital Partners Limited; Kenya Safari Lodges and Hotels; Shelter-Afrique; South Nyanza Sugar Company Limited; Sudan Rural Development Finance Company Limited.
John K Kiarie, Director Corporate and Treasury; Kenya Commercial Bank Limited	Kenyan	PO Box 48400 Nairobi	House No. 5 Hatheru Road Nairobi	Kenya Commercial Bank (Tanzania) Limited; Notcutt Longaroni & Company (Kenya) Limited
Shem E Migot-Adholia (Prof), Permanent Secretary, Ministry of Agriculture and Rural Development	Kenyan	PO Box 30028 Nairobi	Mimosa Court No. A9 Mucai Drive Nairobi	Agricultural Development Corporation; Agricultural Finance Corporation; Agricultural Society of Kenya; Agro-Chemical & Food Company; Busia Sugar Company; Central Agricultural Board; Chemelil Sugar Company; Coast Development Authority; Coffee Board of Kenya; Coffee Research Foundation; Cooperative College of Kenya; Cotton Board of Kenya; Ewaso Ng'iro North Development Authority; Ewaso Ng'iro South Development Authority; Horticultural Crops Development Authority; Institute for Policy Analysis and Research; Kenya Agricultural Research Institute; KEFRI; KETRI; KEVEVAPI; Kenya Cooperative Creameries; Kenya Dairy Board; Kenya Seed Company Limited; Kenya Sugar Authority; Kephis; Kerio Valley Development Authority; Lake Basin Development Authority; NCPB; National Irrigation Board; Nzoia Sugar Company Limited; Nyayo Tea Zones Development Authority; Sisal Board of Kenya; South Nyanza Sugar Company Limited; Pest Products Control Board; Pyrethrum Board; Tana and Athi Rivers Development Authority; Tea Board; Tea Research Foundation

Mwaghazi Mwachofi,
Permanent Secretary,
Ministry of Finance and
Planning

Kenyan

PO Box 30007
Nairobi

St. Austins Gardens
Lavington Nairobi

Agricultural Development Corporation; Agricultural Finance Corporation; Agro-Chemicals and Food Company Limited; Busia Sugar Company; Capital Markets Authority; Central Bank of Kenya; Chemelil Sugar Company; Coast Development Authority; Coffee Board of Kenya; Communications Commission of Kenya; Consolidated Bank of Kenya; Cooperative Bank of Kenya; Deposit Protection Fund Board; Development Bank of Kenya; East Africa Portland Cement Company Limited; East African Breweries Limited; East African Development Bank; Ewaso Ng'iro North Development Authority; Ewaso Ng'iro South Development Authority; Export Processing Zones Authority; Horticultural Crops Development Authority; Housing Finance Company of Kenya; Industrial & Commercial Development Corporation; Industrial Development Bank; International Hotels (K) Limited; Kenya Agricultural Research Institute; Kenya Airports Authority; Kenya Airways Limited; Kenya Broadcasting Corporation; Kenya Building Society Limited; Kenya Bureau of Standards; Kenya Commercial Bank; Kenya Commercial Finance Company Limited; Kenya Electricity Generating Company Limited; Kenya Forestry Research Institute; Kenya Hotel Properties Limited; Kenya Industrial Estates Limited; Kenya Institute of Administration; KIPPRA; Kenya Literature Bureau; Kenya Marine & Fisheries Research; Kenya National Shipping Line; Kenya National Trading Corporation; Kenya Petroleum Refineries; Kenya Pipeline Company Limited; Kenya Plant Health Inspectorate Service; Kenya Ports Authority; Kenya Post Office Savings Bank; Kenya Power & Lighting Company; Kenya Railways Corporation; Kenya Re-Insurance Corporation; Kenya Revenue Authority; Kenya Sisal Board; Kenya Sugar Authority; Kenya Tea Development Authority; Kenya Tourist Development Corporation; Kenya Trypanosomiasis Research Institute; Kenya Vehicle Manufacturers Limited; Kenyatta National Hospital Board; Kerio Valley Development Authority; Lake Basin Development Authority; National Bank of Kenya; National Cereal and Produce Board; National Hospital Insurance Fund; National Housing Corporation; National Irrigation Board; National Museums of Kenya; National Oil Corporation of Kenya Limited; National Water & Pipeline Corporation; Numerical Machining Complex; Nyayo Tea Zones Development Authority; Nzoia Sugar Company Limited; Panafrikan Paper Mills (EA) Limited; Postal Corporation of Kenya; Retirement Benefits Authority; Savings and Loan Kenya Limited;

S Amos Wako (Hon),
Attorney General

Kenyan

PO Box 40112
Nairobi

Karen
Nairobi

South Nyanza Sugar Company Limited;
Stanbic Bank of Kenya Limited; Tana
and Athi Rivers Development Authority;
Telkom Kenya Limited; The First
Permanent (EA) Limited

Ben Yates,
Technical Director, BTL

British

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Gamlingay
Cambs UK

Busia Sugar Company Limited; Capital
Markets Authority; Chemelil Sugar
Company; Kenya Pipeline Company
Limited; Kenya Ports Authority; Kenya
Railways Corporation; Kenya Revenue
Authority; Kenya Sugar Authority; Nzoia
Sugar Company Limited; South Nyanza
Sugar Company

Busia Sugar Company Limited

DESCRIPTION OF MATERIAL PROPERTY LEASES

Summaries of material property leases of MSC are set out below:

TITLE DEED NUMBER	Mumias Sugar Scheme/1
Lessor	Government of Kenya
Lessee	Mumias Sugar Company Limited
Tenure	Leasehold
Date of lease	1 July 2001
Term of lease	99 years
Unexpired term	99 years
Brief description	Agricultural land situated in Butere/Mumias District measuring 4 296.82 hectares.
Use	Agricultural land used for the planting of sugar cane.

TITLE DEED NUMBER	Mumias Sugar Scheme/2
Lessor	Government of Kenya
Lessee	Mumias Sugar Company Limited
Tenure	Leasehold
Date of lease	4 February 1974
Term of lease	99 years
Unexpired term	71 years
Brief description	Land situated in Butere/Mumias District measuring approximately 117 hectares.
Use	The land is used for the growing of sugar cane, factory premises, residential housing and the provision of social amenities such as schools, a clinic and a sports centre.

PROVISIONS OF THE ARTICLES OF ASSOCIATION RELATING TO DIRECTORS

The following sets out certain provisions of the articles of association relating to directors:

1. DETAILS OF MSC DIRECTORS**1.1. Number of Directors**

Article 90: "Unless and until otherwise from time to time determined by an ordinary resolution of the Company, the number of Directors (excluding alternates) shall not be less than 7 nor more than 11 in number. The first Directors shall be appointed by the Subscribers to the Memorandum of Association, or a majority thereof, by notice in writing. If at any time the number of Directors falls below the minimum number fixed by or in accordance with these Articles, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose."

1.2. Remuneration

Article 92: "The Directors shall be paid out of the funds of the Company by way of remuneration for their services such sums as the Company may from time to time by ordinary resolution determine and such remuneration shall be divided among them in such proportion and manner as the Directors may determine and, in default of such determination within a reasonable period, equally. Subject as aforesaid, a Director holding office for part only of a year shall be entitled to a proportionate part of a full year's remuneration. The Directors shall also be entitled to be repaid by the Company all such reasonable travelling (including hotel and incidental) expenses as they may incur in attending meetings of the Board, or of committees of the Board, or general meeting, or which they may otherwise properly incur in or about the business of the Company."

Article 93: "Any director who, being so requested by the directors, performs special or extraordinary services on behalf of the Company, or who travels or resides outside Kenya for the purposes of discharging his duties may be paid such extra remuneration (whether by way of lump sum, salary, commission or participation in profits or otherwise) as the directors may determine."

1.3. Qualification

Article 94: "Share qualification shall not be a requirement for appointment of Directors."

1.4. Powers and duties

Article 101: "The business of the Company shall be managed by the Directors who may pay all expenses incurred in promoting and registering the Company, and may exercise all such powers of the Company as are not, by the Act or by these Articles, required to be exercised by the Company in general meeting, and the exercise of the said powers shall be subject also to the control and regulation of any general meeting of the Company, but no resolution of the Company in general meeting shall invalidate any prior act of the Directors which would have been valid if such resolution had not been passed."

2. BORROWING POWERS

Article 102: "The Directors may exercise all the powers of the Company to borrow or raise money and to mortgage or charge its undertaking, property and uncalled capital and to issue debentures, debenture stock, legal and equitable mortgages and charges and other securities whether outright or as security (principal or collateral) for any debt, liability or obligation of the Company or of any third party."

Article 103: "The Directors shall duly comply with the provisions of the Statutes, and in particular with the provisions in regard to the registration of the particulars of mortgages and charges affecting the property of the Company, or created by it, and to keeping a register of the Directors and Secretaries, and to sending to the Registrar of Companies an annual list of members, and a summary of particulars relating thereto, and notice of any consolidation or increase of share capital, or conversion of shares into stock, and copies of special resolutions, and a copy of the register of Directors and notification of any change therein."

3. DIRECTORS' INTERESTS IN CONTRACTS

Article 108: (1) "A Director who is in any way, whether directly or indirectly, interested in a contract with the Company shall declare the nature of his interest at a meeting of the Directors in accordance with Section 200 of the Act."

(2) "A Director shall not vote in respect of any contract or arrangement in which he is interested, and if he shall do so his vote shall not be counted, nor shall he be counted in the quorum present at the meeting, but neither of these prohibitions shall apply to

- a) any arrangement for giving any Director any security or indemnity in respect of money lent by him or obligations undertaken by him for the benefit of the Company; or
- b) to any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which the Director himself has assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of a security; or
- c) any contract by a Director to subscribe for or underwrite shares or debentures of the Company; or
- d) any contract or arrangement with any other Company in which he is interested only as an officer of the Company or as holder of minority shares or other securities and these prohibitions may at any time be suspended or relaxed to any extent, and either generally or in respect of any particular contract, arrangement or transaction, by the Company in general meeting."

(3) "A Director may hold any office or place of profit under the Company (other than the office of auditor) in conjunction with his office of Director for such period and on such terms (as to remuneration and otherwise) as the Directors may determine and no Director or intending Director shall be disqualified by his office from contracting with the Company either with regard to his tenure of any such office or place of profit or as vendor, purchaser or otherwise, nor shall any such contract, or any contract or arrangement entered into by or on behalf of the Company in which any Director is in any way interested, be liable to be avoided, nor shall any Director so contracting or being so interested be liable to account to the Company for any profit realised by any such contract or arrangement by reason of such Director holding that office or of fiduciary relation thereby established."

(4) "A Director, notwithstanding his interest, may be counted in the quorum present at any meeting whereat he or any other Director is appointed to hold any such office or place of profit under the Company or whereat the terms of any such appointment are arranged, and he may vote on any such appointment or arrangement other than his own appointment or the arrangement of the terms thereof."

- (5) "Any Director may act by himself or his firm in a professional capacity for the Company, and he or his firm shall be entitled to remuneration for professional services as if he were not a Director; provided that nothing herein contained shall authorise a Director or his firm to act as auditor to the Company."

4. DISQUALIFICATION OF DIRECTORS

Article 112: "The office of Director shall be vacated if the Director –

- a) ceases to be or is prohibited from being a director by virtue of any provision of the Act, or
- b) becomes bankrupt, or
- c) becomes incapable by reason of mental disorder of exercising his functions as Director, or
- d) resigns his office by notice in writing to the Company, or
- e) is absent, without the previous sanction of the Directors, for a period of more than Six months from meetings of the Directors held during such period and the Directors resolve that his office be vacated accordingly."

5. ROTATION OF DIRECTORS

5.1. Rotation by retirement

Article 113:

- (1) "At the first annual general meeting of the Company all the directors shall retire from office, and at the annual general meeting in every subsequent year one-third of the directors for the time being, or, if their number is not three or a multiple of three, then the number nearest one-third, shall retire from office."
- (2) "The directors to retire in every year shall be those who have been in office since the last election, but as between persons who became directors on the same day those to retire shall (unless they otherwise agree among themselves) be determined by lot."
- (3) "A retiring Director shall be eligible for re-election."
- (4) "The Company at the meeting at which a Director retires in manner aforesaid may fill the vacated office by electing a person thereto, and in default the retiring Director shall if offering himself for re-election be deemed to have been re-elected, unless at such meeting it is expressly resolved not to fill such vacated office or unless a resolution for the re-election of such Director shall have been put to the meeting and lost."

5.2. Election of Directors

Article 114: "The Directors shall have power at any time, and from time to time, to appoint a person as an additional Director either to fill a casual vacancy or as an addition to the existing Directors but so that the total number of Directors shall not exceed the maximum authorised by these Articles; but any person so appointed shall retire from office at the next following ordinary general meeting, but shall be eligible for election by the Company at that meeting as an additional Director."

Article 115: "No person, other than a Director retiring at the meeting, shall, unless recommended by the directors, be eligible for election to the office of Director at any General meeting unless, not less than three or more than twenty-one days before the date appointed for the Meeting, there shall have been left at the Office, notice in writing signed by a member duly qualified to attend and vote at the Meeting for which such notice is given, of his intention to propose such person for election, and also notice in writing signed by that person of his willingness to be elected."

5.3. Number of Directors may be increased or reduced

Article 116: "The Company may from time to time by ordinary resolution increase or reduce the number of Directors, and may also determine in what rotation the increased or reduced number is to go out of office."

5.4. Casual vacancy

Article 114: "The Directors shall have power at any time, and from time to time, to appoint any person as an additional Director either to fill a casual vacancy or as an addition to the existing Directors but so that the total number of Directors shall not exceed the maximum authorised by these Articles; but any person so appointed shall retire from office at the next following ordinary general meeting, but shall be eligible for election by the Company at that meeting as an additional Director."

5.5. Power to remove Directors

Article 117: "The Company may by ordinary resolution, of which special notice has been given in accordance with the Act remove any Director before the expiration of his period of office, and, without prejudice to the powers of the Directors under Article 90 hereof, may by an ordinary resolution appoint another person in his stead; the person so appointed shall be subject to retirement at the same time as if he had become a Director on the day on which the Director in whose place he is appointed was last elected a Director. Such power of removal may be exercised notwithstanding anything in these Articles or in any agreement between the Company and such Director but without prejudice to any claim such Director may have for damages for breach of contract of service between him and the Company."

GENERAL EXTRACTS FROM THE MEMORANDUM AND ARTICLES OF ASSOCIATION

General extracts from the MSC memorandum and articles of association are provided below:

1. VOTING RIGHTS

1.1. Votes of members

Article 78: "Subject to any rights or restrictions for the time being attached to any classes of shares, on a show of hands every member present in person or by proxy shall have one vote, and on a poll every member present in person or by proxy shall have one vote for each share of which he is the holder."

Article 79: "In the case of joint holders the vote of the senior who tends a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders; and for this purpose seniority shall be determined by the order in which the names stand in the Register."

Article 80: "A member incapable by reason of mental disorder of managing and administering his property and affairs may vote, whether on a show of hands or on a poll, by proxy, receiver, or other person authorised by any Court of competent jurisdiction to do so on his behalf, and such person may on a poll vote by proxy."

Article 81: "No member shall be entitled to receive any dividend or to be present at a General Meeting or to vote on any question, either personally or by proxy, attorney or, in the case of a corporation, by a representative appointed in accordance with Article 89 at any General Meeting or on a poll to be reckoned in the calculation of a quorum whilst any call shall be due and payable to the Company in respect of any of the shares on call, whether alone or jointly with any other person."

Article 82: "No objection shall be raised to the qualification of any vote except at the meeting or adjourned meeting at which the vote objected to is given or tendered, and every vote not disallowed at such meeting shall be valid for all purposes. Any such objection made in due time shall be referred to the Chairman of the meeting, whose decision shall be final and conclusive."

Article 89: "Any corporation which is a member of the Company may, by resolution of its Directors or other governing body, appoint such person as it thinks fit to act as its representative at any meeting of the Company or of any class of members of the Company. The production at a meeting of a copy of a resolution certified by one Director (other than the appointee if he himself shall be a Director) and the Secretary, if any, of such Corporation to be a true copy of the resolution, shall be accepted by the Company as sufficient evidence of the validity of his appointment. The person so appointed shall be entitled to exercise the same powers on behalf of such Corporation as it could exercise if it were an individual member of the Company."

2. ISSUE OF SHARES AND VARIATION OF RIGHTS

2.1. Power to issue shares of different classes

Article 9: "Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares, any share in the Company may be issued with such preferred, deferred or other special rights or such restrictions, whether in regard to dividend, voting, return of capital or otherwise as the Company may from time to time by ordinary resolution determine."

2.2. Power to issue redeemable preference shares

Article 10: "The Company may by special resolution create and sanction the issue of Preference shares which are, or at the option of the Company are to be, liable to be redeemed, subject to and in accordance with the provisions of the Statutes. The special resolution sanctioning any such issue shall also specify by way of an addition to these Articles the terms in which and the manner in which any such Preference shares shall be redeemed."

2.3. Modification of rights

Article 15: "If, at any time, the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, whether or not the Company is being wound up, be varied with the consent in writing of the holders of three-fourths of the issued shares of that class, or with the sanction of a special resolution passed after a separate general meeting of the holders of the shares of the class. To every such separate general meeting the provisions of these Articles relating to general meetings shall mutatis mutandis apply, but so that the necessary quorum shall be members holding in the aggregate not less than one-fourth of the total votes of all the members holding shares in that class entitled to vote at that meeting present in person or by proxy and the resolution has been passed by not less than three-fourths of the total votes to which the members of that class present in person or by proxy are entitled."

2.4. Rights not varied by issue of shares *pari passu*

Article 16: "The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of the shares of that class, be deemed to be varied by the creation or issue of further shares ranking *pari passu* therewith."

3. GENERAL MEETINGS

Article 60: "The Company shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the matter as such notices calling it. Not more than Fifteen months shall elapse between the date of one annual general meeting of the Company and that of the next. Provided that if the first annual general meeting is held within Eighteen months of the date of incorporation of the Company, it need not be held in the year of incorporation nor in the next following year. Annual and extraordinary general meetings shall be held at such times and places within Kenya as the Directors shall, from time to time, appoint."

Article 63: "Every general meeting shall be called by Twenty-one days' notice in writing at the least. The notice shall be exclusive of the day on which it is served and deemed to be served and of the day for which it is given, and shall specify the place, the day and the hour of the meeting and, in the case of special business, the general nature of that business, and shall be given, in manner hereinafter mentioned or in such other manner, if any, as may be prescribed by the Company in general meeting, to such persons as are, under

the regulations of the Company, entitled to receive such notices from the Company, including the Listing and Membership Committee of the Nairobi Stock Exchange."

Article 65: "The accidental omission to give notice of a meeting to, or non-receipt of notice by, any person entitled to receive notice shall not invalidate the proceedings at that meeting."

Article 67: "No business shall be transacted at any general meeting unless a quorum of members is present at the time when the meeting proceeds to business; save as herein otherwise provided, 20 members present shall be a quorum."

4. **DIVIDENDS**

Article 137: "No dividend shall be paid otherwise than out of profits (including retained profits)."

Article 146: "Any dividend unclaimed for a period of more than Six years from the date of the declaration thereof may at any time thereafter be forfeited by resolution of the Directors."

RECEIVING AGENTS

The following provides information on the receiving agents for the public offer:

Stockbrokers

Ashbu Securities Limited
21st Floor, Ambank House, University Way
(PO Box 41684, Nairobi)

Crossfield Securities Limited
2nd Floor, Vedic House, Mama Ngina Street
(PO Box 34137, Nairobi)

Discount Securities Limited
2nd Floor, Phoenix House, Kenyatta Avenue
(PO Box 42489, Nairobi)

Dyer & Blair Limited
12th Floor, Reinsurance Plaza
(PO Box 42489, Nairobi)

Equity Stockbrokers Limited
3rd Floor, Queensway House, Kaunda Street
(PO Box 47198, Nairobi)

Faida Securities
1st Floor, Windsor House, University Way
(PO Box 45236, Nairobi)

Francis Drummond & Co Limited
Hughes Building, Kenyatta Avenue
(PO Box 45465, Nairobi)

Francis Thuo & Partners Limited
13th Floor, International House, Mama Ngina Str
(PO Box 46524, Nairobi)

Hak Securities Limited
4th Floor, Rehani House
(PO Box 43676, Nairobi)

Kenya Wide Securities Limited
2nd Floor, Kimathi House, Kimathi Street
(PO Box 43858, Nairobi)

Kestrel Capital (East Africa) Limited
7th Floor, Hughes Building, Kenyatta Avenue
(PO Box 40005, Nairobi)

Ngenye Kariuki & Co. Limited
5th Floor, Travel (UTC) House, Muindi Mbingu Street
(PO Box 12185, Nairobi)

Nyaga Stockbrokers Limited
10th Floor, IPS Building, Kimathi Street
(PO Box 41868, Nairobi)

Reliable Securities Limited
6th Floor, Eagle House, Kimathi Street
(PO Box 50338, Nairobi)

Shah Munge & Partners
12 Floor, Nation Centre, Kimathi Street
(PO Box 14686, Nairobi)

Solid Investment Securities Limited
4th Floor, 20th Century Plaza, Mama Ngina Street
(PO Box 63046, Nairobi)

Standard Stocks Limited
17th Floor, Hazina Towers, Loita Street
(PO Box 13714, Nairobi)

Suntra Stocks Limited
5th Floor, Commonwealth House, Moi Avenue
(PO Box 74016, Nairobi)

Agent banks

Co-operative Bank of Kenya
All branches

Kenya Commercial Bank
All branches

A copy of the prospectus to which this application form is attached has been lodged with the Registrar of Companies on 24 September 2001 ("the prospectus").

MUMIAS SUGAR COMPANY LIMITED

("MSC")

(Incorporated in Kenya on 29 June 1971)

(Registration number 10 076)



APPLICATION FORM

for ordinary shares with a par value of KSh2 in terms of the public offer for sale of 121 500 000 ordinary shares of MSC at a subscription price of KSh6.25 per ordinary share

Please refer to the instructions below before completing this form.

The Board of Directors of MSC ("the Directors") reserves the right to accept or reject any application, in whole or in part, particularly if the instructions as set out in the prospectus and below are not complied with.

APPLICANTS' STATEMENT

By signing the application form, I/we the applicant(s) state that:

1. I/We have full legal capacity to contract and, having read the prospectus, hereby irrevocably apply for and request you to accept my/our application for the undermentioned number of ordinary shares in MSC, or any lesser number that may, in your sole and absolute discretion, be allotted to me/us subject to the articles of association of MSC.
2. I/We authorise MSC to enter my/our name in the register of members of MSC as the holder(s) of shares sold to me/us and to send the share certificates in respect of the shares sold to me/us and any refund money to me/us in accordance with the terms and conditions contained in section 8 of the prospectus.
3. I/We declare that the application made hereby is made solely on behalf of the applicant(s).

INSTRUCTIONS

1. Applicants should consult the appointed agents, as set out in Annexure 8 of the prospectus, or their accountant, bank manager, lawyer, stockbroker or other professional adviser in case of doubt as to the correct completion of this application form.
2. When completing the form on the reverse side, please bear in mind that ordinary shares may not be applied for in the names of a deceased estate, a trust that has not been incorporated or a partnership. Executors, trustees of trusts that have not been incorporated and individual partners may apply for ordinary shares in their own name. Minors must be assisted as far as is necessary by law.
3. All alterations on the application form (other than the deletion of alternatives) must be authenticated by full signature.
4. Applicants are not required to lodge any documents in support of their applications. MSC reserves the right to call for documents or other evidence in proof of a person's authority to sign the application form in a representative capacity.
5. Each application submitted must show only one address.
Applications will only be regarded as complete when the relevant banker's cheque has been honoured.
7. Banker's cheques must be made payable in favour of "Mumias Sugar Company Limited Offer".
8. No receipt will be given for applications or payments, but applicants submitting their applications with cash to any receiving agent as set out in Annexure 8 of the prospectus must ensure that they receive a duplicate of the deposit slip.
9. This form, when completed, together with payment, as provided in paragraph 8.10 of the prospectus, should be either:
 - submitted to any branch of the receiving agents set out in Annexure 8 of the prospectus to ensure that the application reaches the offices of that receiving agent by 15:00 on Friday, 19 October 2001 at the latest; or
 - posted at the sender's risk to:

MSC Public Offer
c/o Image Registrars
Receiving Department
PO Box 9287
00100 Nairobi GPO

Applicants are advised to take into consideration postal delivery times when posting applications, as postal deliveries not received at the above postal address by 15:00 on Friday, 19 October 2001 may not be accepted.

10. Applications should be made for a minimum of 1000 shares and in multiples of 100 thereafter. Below, is a table for illustrative purposes only, which can be used to calculate the application money payable relating to a particular number of shares applied for in terms of the public offer.

Illustrative number of shares applied for and corresponding application monies:

Number of shares	Application monies	Number of shares	Application monies
1 000 shares	KSh6 250	1 300 shares	KSh8 125
1 100 shares	KSh6 875	1 400 shares	KSh8 759
1 200 shares	KSh7 500	10 000 shares	KSh62 500

Add KSh 625 for each further 100 shares applied for.

All applicants

Number of shares applied for (figure only):

Amount due on application (figure only):

KSh

If not paying by cash or postal order, please fill in the following row of boxes:

Banker's cheque number:

Bank name:

Branch:

Particulars of financier to whom share certificate and refund cheques, if applicable, should be sent:

Name of Financier:

Code:

Address:

Please tick as appropriate:

Kenyan citizen

☐

Resident in Kenya

☐

Non-Kenyan

☐

Non-resident

☐**Individual applicants only**Full name(s) as indicated
on your ID or passport:

Mr / Mrs / Ms / Dr / Other

Telephone number:

Permanent postal address:

Please fill in **one** of the following two boxes:

- 1)
- ☐
- I wish to collect the share certificate and/or refund cheque from the agent through which I submitted my application as indicated below.

OR

- 2)
- ☐
- I wish to have the share certificate and/or refund cheque posted to me at my permanent postal address

Please fill in **one** of the following boxes:

- 1) Kenya ID Card Number:

OR

- 2) Passport Number and country of issue

Signature(s)/thumbprint witness:

Date:

2001

Thumbprint:

Corporate applicants onlyName to appear on
share certificate:

Registration number:

Telephone number:

Postal address:

A corporate applicant must complete the space below under the hand of two duly authorised directors.

Name:

Signature:

Designation:

Name:

Signature:

Designation:

Date:

For office use only

Agent's code:

Schedule number

Item number

Sort code

Agents stamp

WILLIS TOWERS WATSON & PARTNERS LTD.
 2nd Floor, 10000, Nairobi
 TEL: 255 255 255 FAX: 255 255 255